

FOUNDATIONS OF Entrepreneurship

Learn how to develop an
entrepreneurial mindset
and how to start a business
that works.

Edited by
Onu, C. A., Ph.D



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DEDICATION

To the Almighty God

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PREFACE

Foundations of Entrepreneurship is a book that has been written to fill the lacuna created by youth and graduate unemployment in developing economies like Nigeria. The engine room for the development of any economy is entrepreneurial activities in the form of small, medium and large scale enterprises. Both negative and positive factors have motivated numerous people to go into entrepreneurship. Some of those factors are crave for independence and satisfaction, job dissatisfaction, enabling economic environment and so on.

The need to teach entrepreneurship has become of utmost importance in tertiary institutions to equip students with sound knowledge and skills, which would make them self-reliant, and to be creative and innovative in identifying new business opportunities in small and medium scale enterprises. Additionally, it will assist in reducing high rate of poverty and rural-urban migration, create employment in Nigeria and thus, contributes to economic growth and development.

Finally, this book has been structured and written to make for exciting and understandable reading. The book encompasses nature of entrepreneurship, Nigeria entrepreneurial environment, creativity and creative thinking, Management of innovation, business opportunities and growth, family business, business plan and feasibility studies, marketing for small and large enterprises and problems of entrepreneurial venture in Nigeria.

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Introduction

The need for entrepreneurship education started in Nigeria in the mid 1980s when the economy collapsed due to political instability and inconsistencies in the socio-economic policies of successive governments. This resulted in very high youth and graduate unemployment (Arogundade, 2011). Graduates of tertiary institutions were not having sound knowledge and skills which would make them self-reliant. The lacuna led to the introduction and emphasis on entrepreneurial education owing to the belief that its introduction into tertiary education would lead to acquisition of skills that would enable its graduates to be self-reliant and consequently reduce unemployment problems (Nwangwu, 2006). Arogundade (2011) argues entrepreneurship education will equip the students with the skills to be self-reliant and the task of government and other education stakeholders should make sure that educational programme at all levels of education are made relevant to provide the youths and graduates needed entrepreneurial skills. Entrepreneurship education in the narrower sense follows a direct approach, developing students' competences and entrepreneurial intentions towards starting a business as a career option.

According to Paul (2005), the objectives of entrepreneurship education include to: **1.** Offer functional education to youth to make them self-employed and self-reliant; **2.** Provide youth graduates with adequate training

to them creative and innovative in identifying novel business opportunities and establish a career in small and medium scale businesses; **3.** Reduce high rate of poverty and rural-urban migration; **4.** Create employment and serve as a catalyst for economic growth and development among others.

The Federal Government of Nigeria issues directive through the Nigerian Universities Commission (NUC) to all Universities in the country to establish centres for Entrepreneurship Development to coordinate the offering of a benchmark entrepreneurship course to all students in Nigerian universities. Therefore, the NUC has made Course on Entrepreneurship Development (CED) to be mandatory for all Nigerian graduates irrespective of their disciplines since year 2000. The strategic objectives of the national policy are to improve the capacity of youths to develop positive independence and innovative thought process and overall entrepreneurial mind-set, and the development of vocational skills to stimulate future graduates towards venture and wealth creation.

Definition of Entrepreneur, Entrepreneurship, Intrapreneur and Intrapreneurship

Entrepreneur and entrepreneurship have no specific definitions. They have been defined in different ways by many authors.

Who is an entrepreneur?

The word “entrepreneur” is derived from French “entreprendre”, meaning an individual who undertakes the risk of a new enterprise. He is an individual who organizes, manages, and takes the risks of an enterprise (Robert, 1984). Although several people view an entrepreneur from slightly different perspectives, they all come up with common characteristics of an entrepreneur which include

newness, organizing, creating something new and risk taking. To an economist, an entrepreneur is one who brings resources, labour, material and other assets into combination that makes their value greater than before and also one who introduces changes, innovation and a new order. To a psychologist, an entrepreneur is a person driven by certain forces, that is, the need to obtain or attain something, to experiment, to accomplish or perhaps to escape the authorities of others. To a businessman, an entrepreneur may be an ally, a source of supply, or someone who creates wealth for others as well as finds better ways to utilize resources, reduce waste and produce jobs for others (Hisrich, Peters & Shepherd, 2008).

According to Drucker (1983) an entrepreneur is any person who coordinates other factors of production and bears the risk of uncertainty by investing his scarce resources in the business venture. He also takes the managerial decision such as planning, staffing, organizing, developing and controlling the business organization. He is a person who is willing to risk his capital and other resources in a new business venture from which he expects substantial rewards, if not immediately, but in the foreseeable future at least.

Thompson (2001) views an entrepreneur as a person or group of persons who provide the capital, takes the risk, makes decisions and reaps the profit or meets with the losses of the business. It is a man or woman who takes the initiative of starting and running a small or large enterprises and makes them work. The investor who took a business initiative to an enviable height in terms of return on equity and size is regarded as successful entrepreneur. An entrepreneur can be said to be a person who identifies business opportunities and organizes the required resources to initiate successfully business activity. It is important to note that an entrepreneur is different from a manager who only plans, organizes and controls a business idea after it has been successfully initiated by the entrepreneur.

Holt (1992) says, “the term entrepreneur may be properly applied to those who incubate new ideas, start enterprises based on those ideas, and provide added value to society based on their independent initiatives.” These people are considered value adding persons because jobs are created in the society, capital formation is promoted, country's export trade is increased, concentration of economic power is reduced, balance regional development becomes possible, forward and backward linkages among the industries are created and equitable redistribution of wealth, income and even political power is ensured (Khanka, 2002).

Entrepreneur is someone who through creativity and innovation introduces new ideas that change the direction and rate at which the wheels of enterprises go around (Van prag & Cramer, 2001). Being an entrepreneur, one who is self-employed and who initiates, organizes, manages and takes responsibilities for business, provides a personal challenge that many individuals prefer over being an employee working for someone else. The development of entrepreneurial talent is important to sustaining a competitive advantage in a global economy that is catalyzed by innovation (Vrdoljak & Dulcic, 2011). An entrepreneur is the manager or owner of a business enterprise who by risk-taking and initiative attempts to make a profit. An entrepreneur can thus be seen as an individual or corporate who created a business through initiative or innovation, establishes it and nurses it to growth and profitability.

What is entrepreneurship?

Entrepreneurship is a process of action an entrepreneur undertakes to establish a business organization which provides goods and services, creates jobs, and contributes to national income and overall economic development (Sethi, 2008). Entrepreneurship is the process of creating

something different with the value by developing the necessary time and effort assuming the accompanying financial, psychic and social risks and receiving the resulting rewards of monetary and personal satisfaction and independence (Hisrich, Peters, & Shepherd, 2008). This could be regarded as a process of involving various actions to be undertaken to establish an enterprise. Adewale (2004) states that entrepreneurship is an act of floating a business enterprise through investment of capital and taking on the risks may be associated with the investment. Ojukwu (1999) states that entrepreneurship is the relentless pursuit of opportunity without regard to resources currently controlled. This helps one make gainful use of skills. In view of the above definitions, one can deduce that entrepreneurship involves four basic aspects, which include the following:

1. Creating something, that is, creating something that will be of importance to the general public.
2. Devoting necessary time and effort, that is, as an entrepreneur the time and effort required to create something is much.
3. Risk taking and this could be financial risk, social risk and psychological risk.
4. Lastly, the reward of being an entrepreneur is independence and satisfaction; this is the most important aspect of being an entrepreneur because in most cases it takes care of psychological needs, safety and security needs, love and social needs, ego needs and self-actualization.

Finally, entrepreneurship is one who sees a need, then brings together the manpower, materials and capital required to meet that need. On the other hand, entrepreneurship deals with the combination of the factors of production i.e. land, labour, and capital, in such a way that a new product or service will be produced in meeting an identified need in the environment. Also, it can be said to refer to the act or process of identifying and organizing business opportunities in order to initiate a successful business activity. Entrepreneurship is what entrepreneurs do. Basically, the entrepreneur's main task is of meeting about three basic needs i.e. economic needs, social needs and developmental needs.

Who is an Intrapreneur?

An intrapreneur is known as a person inside an organization who generates an innovative idea and fosters it for a period of time. The individual may be regarded as a company's champion who derives organizational idea(s) and uses its material and nonmaterial resources to achieve his/her innovative idea(s) or project(s).

What is Intrapreneurship?

An intrapreneurship is a process of originating innovative and inventing/creating ideas in an organizational environment so as to benefit the organization profitably.

Entrepreneurial skills

Ladzani & Van Vuuren (2002) propose the content of entrepreneurship training to consist of: motivation, entrepreneurial skills and business skills, since the degree entrepreneurship is found to be dependent on three dimensions such as innovativeness, risk-taking and proactiveness (Morris & Kuratko, 2001). These skills are explained in details as follows:

Entrepreneurial skills include: Creativity, innovation, ability to take risks, ability to identify opportunities, ability to have a vision for growth, interpret successful entrepreneurial and role models.

Motivation skills include: Need for achievement, ability to inspire, expectations of the higher achiever, obstacles or blocks, Help, and reactions to success or failure.

General business skills include: Management/leadership, business plans, financial skills, marketing skills, operational skills and human resources skills.

Means for acquisition of entrepreneurial skills

Odia & Odia (2013) proposed that entrepreneurial skills acquisition can be obtained through various means such as: attending entrepreneurial training classes, development programmes, seminars, workshops, job rotation, special training, apprenticeship, organizational learning, R & D institutions, consultants, national and international agencies and bodies, non-governmental organizations (NGOs) and professional bodies.

The Roles of Entrepreneurship in National Development

The question of why some nations are rich and others are poor has been at the center of economic debate for over two centuries. According to Schumpeter as reported by Ebiringa (2012), capital and output growth in an economy depends significantly on the entrepreneur. The quality of performance of the entrepreneur determines whether capital would grow rapidly or slowly and whether the growth involves innovation where new products and production techniques are developed. The difference in economic growth rates of countries of the world is largely due to the quality of entrepreneurs in those countries. Production factors of land, labour and capital are said to be dormant or indolent without

the entrepreneur who organizes them for productive ventures. Entrepreneurs have led and will continue to lead the economic revolution that has proved repeatedly to improve the standard of living for people everywhere (Zimmerer & Scarborough, 2006). Their roles are as follows:

Economic Development: Profits made by entrepreneurs, payments for the various factors of production by the entrepreneur flow as an increase into the National Income. Increase in Gross Domestic Products, National Income, etc. help in improving the standard of living of the citizens of the country. The contributions of the SMEs in industrial sector to the Nigeria's Gross Domestic Product (GDP) are valued at about 37% there by making it the second largest contributor to the Nation's GDP after the oil sector (SMEDAN, 2009).

Employment Opportunities: Entrepreneurship results in the creation of small businesses. The labour intensive nature of small businesses enables them create more jobs than the big businesses. The existence of small scale businesses in the country had provided job and employment to many citizens. Small scale businesses play crucial roles in the economic development of countries (Ogundele; 2006). Okezie, Alex & Odii (2013) reiterated that Small Scale Businesses (SSB) constitute 85% of all firms operating in the Nigeria economy, and like in most other developing countries, they employed the largest number of workers. A study done by the Federal Office of Statistics shows that 97% of all businesses in Nigeria employs less than 100 employees. Looking at the definition of SMEs, (generally an umbrella term for firms with less than 250 employees) it then means that 97% of all businesses in Nigeria are "small businesses". The SME sector provides, on average, 50% of

Nigeria's employment, and 50% of its industrial output. Increasing number of graduates from increasing number of public and private higher institutions who roam the streets, seeking for placement in the few declared vacancies can avail themselves of the opportunity available to make a living.

Reduction in Rural-Urban Drifts: One of the primary objectives of promoting entrepreneurship in developing countries is to mitigate Rural-urban drift syndrome. The migration of rural dwellers to cities in search of 'white-collar' jobs has resulted in congestion, high incidence of crimes, and so on.

Development of Local Technological Base: The development of indigenous technological base in all countries of the world has been championed by native entrepreneurs; this will help in transferring the much needed technology needed for the rapid transformation of the country.

Conservation of Foreign Exchanges: This will result from reduced importation of machineries and equipment, raw materials and payment to foreign experts.

Characteristics of Entrepreneurship

These are dominant psychological characteristics presumed to be associated with entrepreneurship which are as follows:

a. Moderate Risk Taker

Entrepreneurship involves taking risk of some kind. A number of factors determine the outcome of any entrepreneurial effort. An entrepreneur should know how to handle the risk by predicting measures and calculating whatever risk anticipated along the way to achieve their

objective. If you are not willing to take any risk, then you will not progress/grow as a business person. He is a learner from his failures and risk takers at every stage of the growth of an enterprise.

b. Discipline

Being disciplined is perhaps the most characteristic of an entrepreneur. You could also say that those who are most likely to succeed are not only willing to work smart. Once they achieve a goal, they quickly replace it with a greater goal. Working smarter, not harder, separates successful entrepreneurs from those who cannot quite get over the success hurdle.

c. Leadership

Not many individuals have the nerve to take the lead, you must be a leader. Some say that this is a born characteristic while others say that if you do not possess it, leadership can be learned. You are lucky if you are a born leader because you only have to develop your abilities and use them when you choose to become an entrepreneur. As a leader, you should be able to guide, influence, and direct people. During these difficult times, leadership skills which include communications and patience have become critical.

d. Determination

Anyone can call himself an entrepreneur, or start his own business, but success requires knowledge, hard work, and determination. He or she must be willing to accommodate the desire goal by dedicating himself/herself to hard work. The personality of an entrepreneur expressed on intense desire to achieve successful entrepreneurship is a discipline, not a talent.

e. Honest and Trustworthy

Some say that eighty percent of an entrepreneur's time is dedicated to pulling and attracting customers. This may be

true because without the customers, the business will not exist. You have to be honest and trustworthy so that you can develop goodwill.

f. Smart

Being smart is another characteristic of an entrepreneur. You could also say that those who are most likely to succeed are not only willing to work hard, but they also know how to work smart. Once they achieve a goal, they quickly replace it with a greater goal. Working smarter, not harder, separates successful entrepreneurs from those who cannot quite get over the success hurdle.

g. Economic Agent

Entrepreneurship is mostly an economic function as it involves the formation and operation of an enterprise. It is basically concerned with the production and distribution of goods and services.

h. Creativity

Entrepreneurship is a resourceful response to changes in the environment. Therefore, an entrepreneur is a change agent within and outside organizational environment.

i. Innovation

Entrepreneurship is an innovative function as it involves doing things in new and better way. Innovation may take several forms, for instance, a new product, a new source of raw material, a new market, a new method of production and so on.

j. Dynamic

Entrepreneurship is a dynamic function as entrepreneurs thrive on changes in the environment that brings useful opportunities for business. Entrepreneurs always need to take different dynamic decisions.

K. Inner Passion for Business

Another important characteristic is having the right passion for the business. You have to maintain your enthusiasm and interest in the business. As long as you have the drive and passion, you can run the business for a long time. An entrepreneur must really love what he/she is doing in such a way that it does not appear to be hard work, but rather something they enjoy and want to do.

What makes an Entrepreneur Successful?

As stated earlier on, the entrepreneurs live in the future. They have creative personalities, are innovative, and thrive on change. But what makes an entrepreneur successful? Take a look at the list below. Notice the characteristics you already possess, as well as those you think you could develop because no one is born with all the characteristics needed for success.

a. Adaptability: This is the ability to cope with new situations and find creative solutions to the problem.

b. Competitiveness: Willingness to compete with and test yourself against others.

c. Confidence: The belief that you can accomplish what you set out to do.

d. Drive: the desire to work hard to achieve one's goals.

d. Honesty: A commitment to refrain from lying; to be truthful and sincere in dealing with others.

e. Organization: The ability to structure your life and keep tasks and information in order.

f. Persuasiveness: The means for convincing people to see your point of view and to get them interested in your ideas.

g. Discipline: The ability to stay focused and adheres to the schedule and deadlines.

h. Risk taking: The courage to expose yourself to possible losses.

i. Understanding: Ability to listen to and empathize with other people.

j. Vision: The ability to see the end results of your goals while working to achieve them.

Advantages and Disadvantages of being an Entrepreneur

Advantages

According to Marriotti and Towle (2006) as cited in Bakare et al. (2009), the entrepreneur works for the following rewards:

1. **Control over time:** Entrepreneurs do not have to operate on anyone else's clock. If you start your own business, you can work at anytime of your own choice. You can employ people to do the work you do not want to do or not good at, and therefore, you can focus your attention on what you do best.
2. **A creative fulfilling life:** Successful entrepreneurs are passionate about their business. Entrepreneurs are never bored. They enjoy the freedom and the responsibility of being the “boss”.
3. **Control over working conditions:** As an entrepreneur, you can create a working environment that reflects your value. You can make sure your company recycles, for example.

3. **An opportunity to create wealth:** Ownership is the key to wealth. If you work for someone else, you are selling your time and effort in exchange for money. You are paid only for the work you do. If your work helps to make the company successful, the owner, not you will receive the greatest.
4. **Control over compensation:** Entrepreneurs get to decide how they are paid. As the owner of the company you can decide to pay yourself a salary, pay yourself a wage, take dividend, and take a commission.
5. **Self-evaluation:** Entrepreneurs evaluate their performances. If you own a company, no one else can hire or fire you. Some of the greatest entrepreneurs in the world might not have been able to succeed if they had not started working for themselves.
6. **Participation in an international community:** The internet allows entrepreneurs to compete and make deals all over the world. Institutions like the World Entrepreneurs' Organization (WEO) help young business people get in touch with each other.
- 7 **An opportunity to help one's community:** Entrepreneurs create jobs for people in their communities. In addition, many of the world's important museums, libraries, hospitals, and other important institutions and facilities have been founded and supported by the entrepreneurs. Many entrepreneurs donate money and time to make their community a better place.

Disadvantages

1. **Business Failure:** Many small businesses fail. When this happen, you risk losing not only your own money but also that of investors.
2. **Obstacles:** You run into unexpected problems that you will have to solve. In addition, you may face discouragement from family and friends.
3. **Loneliness:** It can be lonely and a little scary to be completely responsible for the success or failure of a business.
4. **Financial Insecurity:** Your earnings may rise or fall depending on how the business is doing. You may not always have enough money to pay yourself.
5. **Long Hours/Hard work:** You have to work long hours to get your business off the ground. Some entrepreneurs work six, or even seven days in a week.

Classification of Entrepreneurs

i. The Opportunist Entrepreneur (Class 1)

The opportunist recognizes that a particular situation presents an opportunity to make money and goes for it. The opportunity could be selling umbrellas on a raining day, offering cold bottles of water in the hot weather, or jumping on a hot and timely trend and offering some sort of related service. Many entrepreneurs get their start this way, and as the best opportunities often do not require much start-up capital and often have a sense of urgency about them.

ii. The Lifestyle Entrepreneur (Class 11)

The lifestyle entrepreneur wants to build a business to be his or her own boss, work with his or her friends/family, or pursue an engaging but not all-consuming business

opportunity while still maintaining balance in one's life. Many lifestyle businesses are bootstrapped to begin with, because if there was outside funding in the business, there would often be outside pressure to build the business faster or achieve some sort of a financial exit. A lifestyle entrepreneur could be doing anything from running a successful (and fun) restaurant to operating a software business.

Perhaps the critical defining characteristic about a lifestyle is that it is run to solve for the benefit of work/life balance or personal gratification rather than for growth. A man worked for a lifestyle entrepreneur once and it was an eye opening experience where he learned about people's different motivations and goals. From his experience, he totally respected people who seek lifestyle business balance. How much money does a person really need? And at the same time, not everyone wants to be retired at 65, so why not try to do stimulating things and still get to play around as well?

iii. Problem Solver (Class 111)

The problem solver case starts with a person who does not seem to get his/her mind off a problem until he figures out a way to solve it and then he crosses into becoming a class 111 entrepreneur when he resolves to do something about it. Many companies get their initial start with the goal of solving a problem. This fact is significant. To me, when a friend or friends ask me about business ideas or starting companies, and they have all these different ideas or solutions thought up, I get concerned. Pick one problem and start from there. If you can solve that problem and enough people have that problem then you will likely have a business of some sort. Visible measures got started this way. To get going as a problem solver takes focus; to create and grow a problem solving business takes all of the traits of an entrepreneur.

iv. Visionary (Class IV)

The visionary think they can see the future, a future world that is more efficient or more open or more collaborative. Since the internet first rose from academic curiosity to phenomenon, to business critical infrastructure, there have been several visionary companies all over the world. These companies share several common traits: strong visionary entrepreneurial roots, game changing impact and potential, and a struggle to cross the chasm into long term viability in some ways, the visionary do the most to help the entrepreneurial community because so many of us drift behind the trailblazers who innovate and forge ahead in front of us.

v. Game-changer (Class V)

The game changers are the entrepreneurs that we read about every day, and are entrepreneurial personalities.

Distinctions between Entrepreneur and Entrepreneurship

Entrepreneur (Refer to a person)	Entrepreneurship (Refer to a process)
Leader	Leadership
Planner	Planning
Programmer	Action
Motivator	Motivation
Risk-taker	Risk-taking
Communicator	Communication
Creator	Creation
Visionary	Vision
Innovator	Innovation
Technocrat	Technology
Initiator	Initiative
Organizer	Organization
Decision maker	Decision
Administrator	Administration

Source: Badi & Badi (2006). *Entrepreneurship*. New Delhi: Vrinda Publications Ltd.

Differences between Entrepreneur and Intrapreneur

1. An **Entrepreneur** is someone who has the skills, passion and financial backing expectations to create wealth from new business opportunities and is willing to take full responsibility for its success or failure, while an **Intrapreneur** is someone who manages that business with entrepreneurial flair in line with the shareholders decisions.
2. Another difference between an entrepreneur and Intrapreneur is that where an entrepreneur has a free will and acts upon his whims, an Intrapreneur may have to ask for the permission of the management to go for a certain design or product.
3. Also an entrepreneur is typically a visionary who spots an opportunity in the marketplace and has the passion, guile and contact base to set the wheels in motion. The Intrapreneur has passion and drive but also has the operational skills of running the “clockwork” of the business to enable a good idea to be turned into commercial reality. He is the “inside entrepreneur”.

Finally, an Intrapreneur is differentiated from an entrepreneur based on inside organization. An intrapreneur may result in rivalries and hurt egos because of his extraordinary work. What is required in organizations that encourage Intrapreneurship is to inject mutual respect for each other.

Distinctions between Entrepreneurship and Small Businesses

Entrepreneurship is distinguished from other small businesses by the fact that entrepreneurs are:

i. Driven by opportunity: They are people who crave to meet a need either personally or otherwise which is not being served.

ii. Innovative: Entrepreneurs focus on innovation and so are creative in all aspects of the business community.

iii. Risk-takers: They have the ability to accommodate risk and see failure as a learning experience and could therefore strive till they succeed.

iv. Determined to create new value: They usually start from scratch by creating entirely new jobs and opportunities.

v. Determined to grow: Unlike other business-like individuals, the entrepreneurs are bent on to grow their businesses to affect the economic environment or the market and possibly become global.

Review Questions

1. Discuss the roles of entrepreneurship in national development
2. Explain the dominant psychological characteristics presumed to be associated with entrepreneurship?
3. What makes an entrepreneur successful?
4. Entrepreneurship has a “dark side.” What is meant by this statement?
5. Define entrepreneurship using at least three authors
6. Identify the various rewards associated of being an entrepreneur
7. What are the differences between entrepreneurship and small businesses?
8. Discuss the various classifications of entrepreneurs
9. Explain the differences between Intrapreneurship and entrepreneurship

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The Entrepreneurial Process

Akpa, Victoria O.

Introduction

The process of starting a new venture is exemplified in the entrepreneurial process. Entrepreneurial process is the process of pursuing or going after a new venture or business, whether it is a new product going into an existing market, or existing product going into a new market, or the creation of a totally new enterprise/organization (Hisrich, Peters, & Shepherd, 2008; Enikanselu, 2008). Entrepreneurial process is a course of action that involves all functions, activities, and actions associated with identifying and evaluating perceived opportunities and the bringing together of resources necessary for the successful formation of a new firm to pursue and seize the said opportunities (Stokes, 2000). Every entrepreneur goes through the entrepreneurial process which involves the following distinct phases:

- a Generating ideas,
- b Identifying and evaluating the opportunity,
- c Developing a business plan
- d Determining the required resources
- e Managing the enterprise (Vennapoosa, 2012; Enikanselu, 2008; Bakare, Onu, Adefulu, Akpa, 2009).

Even though these phases proceed progressively, according to Hisrich, Peters, and Shepherd (2008), no one stage is totally completed or dealt with in isolation before work on other phases occurs.

A. Idea Generation

The first step in planning a business venture is to have an idea. A business idea is a mental picture of a course of action to take on a given situation, so as to come up with a positive result. The result could be a product or a service (Gana, 2001). An entrepreneur must have in mind the type of business he /she desires. Before the opportunity identification/recognition stage can result in a meaningful search, the potential entrepreneur must have a general idea about the type of venture he/she desires. Idea generation precisely implies product selection and project identification. Business ideas and opportunities come from a variety of ways. Idea generation can be possible through the vision, insight, observation, experience, education, training and exposure of the entrepreneur (Hisrich, Peters, & Shepherd, 2008; Vennapoosa, 2012).

Factors that Influence Business Opportunity Identification in Nigeria

In Nigeria, there are various factors that influence business opportunity identification. They include:

1. Entrepreneurs' Social Networks
2. Prior Experience
3. Existence of a Similar Business
4. Hobby/Personal Interest
5. Market Research/ deliberate search
6. Electronic and Print Media (Gana, 2001; Bakare, Onu, Adefulu, Akpa, 2009; Welsch, 2004).

B. Identify and Evaluate the Opportunity

Every business idea one may have is not necessarily an opportunity. According to Marriotti (2006), an opportunity has one unique characteristic that distinguishes it from an ordinary idea. An opportunity is an idea that is based on what customers need and want. Opportunity identification according to Hisrich, Peters, & Shepherd (2008), is the process by which an entrepreneur comes up with opportunity for a new venture. Entrepreneurial opportunities represent conditions in which new products or services can satisfy a need in the market. The essence of

entrepreneurship is to identify and exploit these opportunities. Opportunity identification and evaluation is a very difficult task. Most business opportunities do not suddenly emerge. Rather, they result from an entrepreneur's alertness to possibilities or, the establishment of mechanisms that identify potential opportunities. In opportunity recognition, the entrepreneur spots a hole in the market. Alternatively, the opportunity may spring from some inner need of the entrepreneur (Stokes, 2000; Enikanselu, 2008; Hisrich, Peters, & Shepherd, 2008). Opportunity identification may be in form of new market development, new technology (new product or service), or new benefit as explained below.

New Market: This is concerned with providing customers with products or services that do not exist in their market but already exist somewhere else.

New Technology: This involves new technology that is centered on providing customers with brand new products or services that do not exist elsewhere in any market.

New Benefit: This has to do with providing an improved product to customers. This represents new and improved ways of performing old functions.

Once the opportunity is identified, the evaluation process begins. The evaluation process involves consciously deciding whether the opportunity identified is valuable and worth pursuing. The evaluation process is the most critical element of the entrepreneurial process because, it allows the entrepreneur to assess whether the opportunity identified if exploited can generate the needed returns to compensate for the resources required. There are factors that help determine whether an idea is a good investment opportunity or not.

- **There must be a clearly defined market need for the product or service.** Customers must perceive that the new business or product will give them better value for their money than existing businesses or products.

- ***The proposed venture or business must have the ability to achieve a durable or sustainable competitive advantage.*** Competitive advantage is all about what you can do better than the competitors that will attract customers to your business (quality, price, location, selection, services, speed)
- ***There must be significant profit and growth potentials.*** The economics of the new venture need to be rewarding, allowing for significant profit and growth potentials.
- ***The timing must be right.*** Poor timing can prevent a product or service from constituting a valuable investment opportunity, even when the concept is good (Enikanselu, 2008; Hisrich, Peters, & Shepherd, 2008; Bakare, Onu, Adefulu, Akpa, 2009; Kao & Liang, 2001).

Scanning Business Opportunities in Nigeria

Once the entrepreneur perceives opportunities, it becomes important to scan the environment. It is quite possible that many of the promising opportunities might not make commercial sense. Scanning involves close examination of the environmental conditions and their impact upon the business idea. It is an attempt to look beyond the immediate opportunities to the emerging trends.

Opportunity scanning is a major process of self-evaluation of one's ability to start, operate and run a business venture with the popular analysis often referred to as SWOT (Strength, Weaknesses, Opportunity and Threat). It helps to check the chances of succeeding in a particular choice of venture open to an individual through his experiences (Daft, 2010; Mariotti, 2006; Kreitner, 2007).

SWOT Analysis

SWOT analysis is the analysis of the strengths, weaknesses, opportunities and threats that affect organizational performance. This enables the business to fully exploit and

take full advantage of its internal strengths and the perceived opportunities in the environment. Similarly, the weaknesses that may exist in the organization and threats that may come up are identified with a view of taking appropriate measures to overcome them well in advance. The analysis enables an entrepreneur to penetrate and grow within the market. SWOT also allows achievable goals or objectives to be set for the business while future procedure for the accomplishment of the planning and development of the objectives could easily be derived from its SWOT.

Strengths

Strengths are positive internal factors that the organization can exploit to achieve its strategic performance goal. For example, what you do better than others, the unique or lowest-cost resources you can draw upon that others cannot, your organization's unique sales strategy, the factors that make you get the sale and what the people in your market see as your strengths e.g. technical skills, financial ability, quality packaging, abundant raw materials, etc.

Weaknesses

Weaknesses are internal characteristics that might inhibit or restrict the organization's performance. It is also one's limitations that characteristically place one's team at a disadvantage when compared with others. They are other internal factors that need your improvement, those that you need to avoid; those things that may make you lose sales and others that people in your market may see as your weaknesses e.g. lack of marketing skills, inadequate infrastructure, outdated or poor equipment, low education, etc

Opportunities

Opportunities are usually external factors that have the potential to help the organization achieve or exceed its

strategic goals. For example, the good chances one can recognize or the interesting drifts in the market one knows, changes in government policy, technology and markets, social patterns, population profiles, lifestyle changes, and other local issues relating to the business are opportunities e.g. product demand, availability of equipment and raw materials etc.

Threats

Threats are external factors usually outside the control of person or persons in the market environment that could impede the organization from reaching its strategic goals or the entrepreneur from achieving the expected goals and objectives. These external factors include unpleasant environment, new government regulations, technological upgrades in the industry e.g. competitors, fire, drought etc (Daft, 2010; Mariotti, 2006; Kreitner, 2007).

C. Develop a Business Plan

A business plan is the description of the future direction of the business. It documents all aspects of planned activities. A business plan usually gives guidelines for an entrepreneur who is embarking on a new business, expanding or buying a business venture. A good business plan must be developed in order to exploit a defined business opportunity. This is a very time-consuming phase of the entrepreneurial process. A good business plan is not only essential in developing the opportunity, but also, it is also important in determining the required resources, and how to manage the resulting venture successfully (Enikanselu, 2008; Hisrich, Peters, & Shepherd, 2008). The business plan will be discussed in details later.

D. Determine the Required Resources

There is the need for the entrepreneur to determine the resources needed for the business opportunity to be

exploited. The resources should be clearly defined and obtained at the lowest possible cost. This process starts with an evaluation of the entrepreneur's present resources. The entrepreneur needs to consider the various resources at his disposal and the optimum utilization of same as well as the resource constraints. The major resources are: Manpower (people or the employees); Money (Financial resources); Materials (Physical resources); Machinery (Technology and equipment); and Time. After determining the required resources, the next step is for the entrepreneur to acquire needed resources. The entrepreneur should select those resources that will help him accomplish the set goals (Hisrich, Peters, & Shepherd, 2008; Kao & Liang; Enikanselu, 2008).

E. Manage the Enterprise

Businesses do not operate automatically on their own. There must be someone or people to direct the activities of the enterprise in achieving its purpose - the manager(s). The manager's actions, to a great extent, will determine the future of the enterprise (Bakare, Onu, Adefulu, Akpa, 2009). After the resources have been acquired, the entrepreneur must make use of them to implement the business plan. Management of the proposed business is very important. Since lack of competent management is one of the major causes of business failures, it is the duty of the entrepreneur to decide on how he is going to manage the business. If potential entrepreneurs do not have the right experience, they should either get it before starting their new venture or find partners who have it (Hisrich, Peters, & Shepherd, 2008; Stokes, 2000).

ENTREPRENEURIAL DECISION PROCESS

Entrepreneurial decision process involves a movement from one thing to another - a movement from a present lifestyle to forming a new venture (Hisrich, Peters, & Shepherd, 2008;

Enikanselu, 2008). This is the decision to become an entrepreneur by leaving present activity. The decision to start an entrepreneurial venture, according to Hisrich, Peters, & Shepherd (2008), consists of some chronological steps: **1.** The decision to leave a present career or lifestyle, **2.** The decision that an entrepreneurial venture is desirable, and **3.** The decision that both external and internal factors make new venture creation possible.

The Decision to Leave a Present Career or Lifestyle

Decision making is all about employing one's mental processes to come up with a final choice after careful consideration of several options or alternatives. The outcome of one's decision could significantly affect his/her work, business, and even life. Decision making is an essential part of entrepreneurship that affects numerous elements in operating a business (Vennapoosa, 2012; Low, 2010). Nevertheless, the decision to leave a present career or lifestyle is not an easy one. It takes a lot of energy and courage to change and do something new and different.

People leave their present career or lifestyle for varied reasons. Some individuals tend to start businesses in areas they are familiar with especially in research and development and marketing. People in research and development may develop new product ideas or processes. Sometimes, the ideas may not be accepted by their present employer, therefore they leave to start their own business. Others also leave a regular income job to an irregular one due to the frustration of not being promoted or treated fairly in the workplace.

Similarly, individuals in marketing have become familiar with the market and customers' unfilled wants and needs. Consequently, they usually leave to start new enterprises to fill these needs. The decision to start a new venture occurs when an individual perceives that forming a new enterprise is both desirable and possible (Mariotti, 2007; Bakare, Onu, Adefulu, Akpa, 2009; Enikanselu, 2008).

The Desire to Form a New Venture

This is the aspect of a situation that makes it desirable to start a new enterprise. The perception that starting a new venture is desirable results from an individual's culture, family, teachers, peers, etc. Each of these components has a unique way of affecting the desire to start a new venture. For instance, an individual's desire to start a new venture may stem from the fact that some family members are successfully running a particular trend of business. Similarly, a culture that values individuals who successfully creates a new business will influence more venture formation than the one that does not. Also, the information which a student obtains from his teacher in the classroom may wake a desire in the student to start a new business venture.

Possibility of New Venture Formation

Possibility of new venture formation deals with the factors that make it possible to create a new venture. Some factors that contribute to the creation of the new venture include government, the individual's background, marketing, finances etc. The government contributes by providing the infrastructure to help and support a new venture. Since the social, psychological, and financial risks are still present, the entrepreneur must also have the necessary background. Formal education and previous business experience give a potential entrepreneur the skills needed to form and manage a new enterprise. An understanding of marketing plays a major role in forming a new enterprise; therefore, the prospective entrepreneur should also have knowledge about marketing. Financial resources (personal savings, friends, relatives, bank, etc) must also be readily available for the entrepreneur to succeed (Kao & Liang, 2001; Bakare, Onu, Adefulu, Akpa, 2009; Enikanselu, 2008).

REVIEW QUESTIONS

1. Define the term 'Entrepreneurial Process'
2. Mention and explain the distinct phases that an entrepreneur goes through in the entrepreneurial process.
3. List the factors that Influence business opportunity identification in Nigeria
4. Opportunity identification may be in varied forms. List and explain.
5. Mention the factors that help determine whether an idea is a good investment opportunity or not.
6. What is SWOT analysis? Briefly discuss.
7. What do you understand by entrepreneurial decision process? Briefly discuss.

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The Nigeria Entrepreneurial Environment

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Introduction

Entrepreneurial activities have been found to be capable of making positive impacts on the economy of a nation and the quality of life of the people (Schumpeter, 1934; Weber, 1904; Adejumo, 2001; & Morris & Lewis, 1991). Studies have established its positive relationship with stimulation of economic growth; employment generation; and empowerment of the disadvantaged segment of the population, which include women and the poor (Thomas and Mueller, 2000; Reynolds, 1987; Shapero, 1981).

Another interesting dimension in the study of entrepreneurship is the differential operations of its roles in different levels of socio-economic development. In other words, entrepreneurial activities have been found to be functioning differently in different levels of socio-economic development. For example, in industrialized nations, increased entrepreneurial activity serves to reposition dying industries; provides new jobs to compensate for employment problems created by corporate restructuring and downsizing; and to generally enhance economic flexibility and growth (Thomas and Mueller, 1999). It is also a catalyst for technological progress (Reynolds, 1987). Shapero (1981) describes entrepreneurship as key to self-renewing economies.

In less developed countries, on the other hand, entrepreneurship functions in the following areas: stimulation of economic growth (Harper, 1991); replacement of crumbling state-owned enterprises, some of which are legacies of colonial rule; a means of employment generation; and an avenue for empowering the disadvantaged segment of the population.

Entrepreneurship researches have established relationships between the business environment and entrepreneurial activities (Dobbin and Dowd, 1997; Borkowski and Kulzick, 2006; Carter and Wilton, 2006). The effective manifestation of the functions and roles of entrepreneurship in socio-economic development have often been attributed to the presence of certain factors in the external environment of the entrepreneur over which he has little or no control. Borkowski and Kulzick (2006) list the interplay between entrepreneurship and environment as follow: **a.** new venture strategies are formed in response to environmental forces; **b.** entrepreneurs are negative towards and will resist political interference; and **c.** unstable environments are negatively related to growth opportunities.

The business environment is inclusive of the physical infrastructure such as transportation, water and electricity as well as non-physical resources like regulatory policies, education, procedures and financial credit. These environmental forces have been found to be capable of either impeding or facilitating entrepreneurial activities in any society. The entrepreneurial environment is affected by the general business climate in the country. In other words, the capacity of people to create new ventures or remodel the existing enterprises can be enhanced or discouraged by the state of the business environment. In general, business environment refers to the influences and pressures exerted by external factors on the business. The success of every undertaking depends on adapting to the changing

environment within which it functions. For example, when there is a change in the government policy, entrepreneur has to make the necessary changes to adapt to the new policy; otherwise its future can be compromised. The business environment includes all the external factors that provide opportunities and threats to entrepreneurs and corporate bodies.

Entrepreneurial Environment

The entrepreneurial environment may be defined as the sum of all the elements and forces present in its immediate and remote surroundings, which have a potential impact on its ability to achieve its objectives. The entrepreneurial environment can be divided into the External Environment [a.k.a. Macro Environment] and Internal Environment [a.k.a. Micro Environment]

External Environment

This refers to the major forces outside the organization that have the potential to significantly influence the likely success of the firm in the long term. Such factors will influence the type of strategies and policies the company follows in the future. According to Koon (2011) the main factors in the external environment are: Political, Economic, Socio-cultural, Technology, Ecology and Legal factors, otherwise called PESTEL

1. Political environment: Political stability is an important factor which determines the business growth or downfall. A country with relative political stability would witness inflow of foreign capital and will encourage capital accumulation locally. Since the introduction of civilian rule in 1999, there has been relative policy stability in Nigeria; and this has led to an increase in the volume of foreign direct investment (FDI) in Nigeria. Nigerian trade regulations and public procurement policies are liberal and allows for

competitiveness. However, there is at present a perceived threat to political and economic security as a result of increased in criminal activities in the form of kidnapping and destruction of life and property. Similarly, the perception of excessive corruption in public procurement and governance still exist. This means that there will not be adequate resources to invest public utilities and social services. This makes the cost of doing business extremely high in Nigeria as investors have to provide their own power, water, security and so on.

Elements of Political factors

- ✓ Taxation Policy (Tax rates and administration)
- ✓ Trade regulations
- ✓ Political stability
- ✓ Security of Life and Property
- ✓ Corruption index

2. Economic environment: Economic environment refers to the overall economic policies (fiscal and monetary) of government, controls and regulations, etc. All these have a serious impact on the functioning of business organisations. Nigeria has adopted the Capitalist Economic System, where market forces [demand and supply] rather than other factors govern the market. In a Mixed Economic System, government would be selective in allowing the presence of private enterprises in certain activities, reserving some spheres completely for governmental operations. The Nigerian economic environment has few restrictions (mainly in defence-related activities) and any other business that can pose a threat to national security.

Nigeria has also adopted trade liberalization under UNCTAD protocols. However, smuggling and unbridled importation and dumping of cheap and substandard goods is posing a threat to local industries.

Elements of Economical factors

- ✓ Inflation rate
- ✓ Growth in spending power
- ✓ Rate of people in a pensionable age
- ✓ Recession or Boom
- ✓ Access to Finance and cost of finance
- ✓ Production factor costs
- ✓ Per Capital Income
- ✓ Monetary/fiscal policies

3. Social environment: Social environment exert pressure on business organisations to adhere to certain cultural and religions factors. Cultural factors refers to the values, norms, customs, ethics, goals and other accepted behaviour pattern of people in a given society. Another serious aspect of the cultural environment is the attitude and behaviour of the people in urban and rural areas. Business organizations will prefer urban educated persons to persons from rural areas. Also businesses must respect the religious beliefs of their immediate community if they are to flourish.

Closely linked to social environment is demographic which refers to the size and behaviour of the active population in a country. Nigeria has an active population of over 100 million thus making her a large internal market.

Elements of Socio-cultural

- ✓ Age distribution.
- ✓ Education levels.
- ✓ Income level.
- ✓ Diet & nutrition.
- ✓ Local custom
- ✓ Religion

4. Technological environment: This is a very significant external factor determining the destiny of business organizations. Supported by computerized operations, modern business organizations have succeeded in analyzing

customers, minimizing the defects in products, ensuring service at the right time and place, etc. While communications used to take unduly long time only ten year ago, business communications are instantaneous these days, thanks to modern satellite technology. Modern organizations have recognized that research and development alone can ensure organizational growth and stability. They have become more and more pro-active and remain as change agents of the economy. Governments have also become more technology conscious that right from police controls to registration of title deeds, computerizations has been adopted. Customer servicing through call centres is the latest necessity of organizations. Manufacturing activities have become more and more technically sophisticated. Therefore the need for skilled workforce has increased.

Elements of Technological factors

- ✓ Technological changes
- ✓ New or improved distribution channels
- ✓ Improved communication and infrastructure
- ✓ Knowledge Transfer
- ✓ Technology Absorption

5. Ecological environment: Nigeria is a signatory to various international treaties on green production to safeguard the environment from excessive pollution. The need for preventing unfriendly climate change and preserving natural resources has forced many states to enact laws that place more responsibility on the manufacturing sector. These determine how they should handle waste products and effluents. Pollution control has become more stringent; and companies are required to carry out environmental impact assessment before they are granted permits to operate in Nigeria.

Elements of Environmental/Ecological factors

Laws and local regulations on

- ✓ Waste disposal
- ✓ Energy consumption
- ✓ Pollution monitoring etc.

6. Legal environment: Nigeria has a robust legal system that is somewhat favourable to 'doing businesses'. In recent time, alternative dispute resolution for business and commerce has been strengthened. In Lagos State for example, a commercial division has been created in the High Court to handle enterprise disputes. These will not only fast tract resolution of commercial cases but also reduce the cost of dispute settlement. Lagos Chamber of Commerce and Industry has established Lagos Chamber Arbitration Centre (LCAC) to provide arbitration, mediation and reconciliation services for entrepreneurial business disputes. Enterprises now use arbitration and mediation in resolving their differences rather than refer all cases to the courts. If these initiatives are practice across the country, the time and cost for dispute settlement will be significantly reduced. Today, licenses and permits can be obtained easily and speedily for new enterprises through the one-stop-shop window at the Nigerian Investment Promotion Commission (NIPC) as well as at the fast-track window in the head office of Corporate Affairs Commission (CAC).

Elements of Legal factors

- ✓ Legal System
- ✓ Registration of business and business premises
- ✓ Licenses and Permits
- ✓ Product safety Standards
- ✓ Advertising regulations

From the above, the creation of a favourable business environment entails providing conditions for effective,

efficient and profitable enterprise development. It is the responsibility of the government to ensure that an enabling environment is created for entrepreneurial activities. Thus, the exercise of political powers should produce a favourable climate that will give investors confidence to invest in the national economy.

A good business environment entails well functioning and efficient public infrastructure, institutional systems and regulatory services. This will help to reduce cost of doing business, difficulties encountered in operating a business and business mortality rate.

Internal Environment

This refers to all the factors or forces that have a more direct impact on the daily activities of the company. The main factors in the internal environment are: Customers, Suppliers, Competitors, Shareholders, Financial Institutions and, Employees.

► **Customers** - As Peter Drucker has put it, “The ultimate aim of all business organization is to create a customer.” The customers expect the mgt to provide them with quality goods at reasonable prices which allow appropriate rate of return to its owners

► **Suppliers** The suppliers are responsible for continuous and uninterrupted supply of raw materials to feed the production cycle which converts them into finished goods

► **Shareholders** The shareholders of the firm can actually influence the policies and procedures of the firm. They do this by exercising their voting rights.

► **Competitors** In capitalism, it is the market force that will decide the organizations which will prosper and the ones that will perish. In pursuit of survival and growth, organizations must compete with one another. In a buyers market, the competition to win customers is even more fierce. However, the presence of competition and rivalry,

forces each organization to offer quality products at minimum prices.

► **Financial Institutions** Firms depend on banks, insurance companies and other financial organizations to provide them with capital to carry out their business activities.

► **Employees** The organization's labour force comprises of all the individuals who are employed or could be employed by the firm. The firm must take care of the needs of its employees by providing a conducive environment for them. Organizational excellence begins with the performance of the people and, people are the central resource of every organization.

PROBLEMS OF ENTREPRENEURS

Entrepreneurs' all over the world face some general problems, however between developing and developed countries variations exist.

Financial Problem

Oshunbiyi (1989:10) wrote that the key problem facing most entrepreneurs in Nigeria is that of lack of finance in new or an already existing business. In his view banks especially commercial banks which we expect to launch platform for financing the development of entrepreneurship or small and medium scale industries by the providing loans have failed to support them adequately. He also wrote that the stiff collateral security demanded by the bank often means entrepreneurs loses the chances of obtaining the loans because they are unable to meet up the demand by the bank which worth more than the amount they want to borrow from the bank. He added that high interest rate charges on loans by banks scares off potential small and medium scale entrepreneurs. Ford (2004) wrote that “one of the factors that divide industrialized economies from those in sub-Saharan Africa is the lack of access to credit. If a small business

owner in the Us, Uk or Western Europe has a good business idea or seeking fund to expand an already existing business, he has chances that a local bank will be able to give him loan on reasonable terms.

Carter and Jones-Evans (2006) stated that banks are main source of finance for many different sizes and types of small firms in developed countries like in the UK, example is the result of a survey I centre for business research 1996 which showed that more than 50% of small and medium sized companies are supported financially by banks. Good agreements for financing business, having access to capital and acquaintance with the loaner or loaners exist as essential characteristics to the success of the business. Mambula (2002) stated that out of seventy-two percent of entrepreneurs he studied in Nigeria well thought-out that lack of finance is a major problem to develop and run their business.

Management Problem

Entrepreneurship provides the basic energy that moves the present market economy as new business around the world encourages competition and economic growth. At the early stage of entrepreneurship, about a quarter has a problem either on time control, setting goals, measuring performance, finding and retaining qualified employees, accessing and getting useful information. Ude (1999) explained that in most developing countries that small business owner have the problem of mastering the art and science of managing their business which have posed problem to economic growth because they pay less attention to acquiring knowledge in managerial skills towards their business. The business management requires competent training in financial control, production, marketing, and leadership.

Entrepreneurs need to have management skills to be able to set up and run their entrepreneurship as they need a

collection of competencies to manage the running of the business. The management of business requires competent training in leadership, financial control, production marketing, planning, record keeping and more.

Lundström (2005) acknowledged that the skills to venture indicate the technical and business situations required for company operation. Entrepreneurs require compilation of proficiency for them to manage the functions like financial control and market management, which require experience and education, research and development.

Akande (1994) explained that management problem has been known as one of the problems in entrepreneurship in Nigeria, even though it is mostly a part that will be played by entrepreneurs but the government still needs to provide training programmes to enhance their knowledge in business management. Entrepreneurs that require management help can turn to many programmes like SBA, management consultants, business incubators, consulting public and university libraries, attending training in developed countries. In developed countries like Sweden, the programmes on entrepreneurship are provided freely for all entrepreneurs and even the aspiring entrepreneurs are encouraged as long as there is good business idea on ground, in 1996, the number of entrepreneurs with post secondary school qualification increased, around half of those that start new business had post secondary education (NUTEK).

Marketing Problem

Carlson (1991) stated that in marketing conditions, small business enterprises have numerous challenges because of their lack of knowledge for the proper technique related with procedures in marketing. Carlson (1991) further advised that the knowledge and strengthening of small business marketing will benefit from factors like attitude and personality of the owner manager, also the inbuilt pliability

and efficiency of small business management.

Baker (1979) and Doyle (1985) classified lack of marketing orientation as a major factor for failure in business. An entrepreneur that does not have the skills or the ideas about marketing in business tends to face marketing problem. Gwen (2003). Ability to cost effectively, advertise and actual selling are two top problems in marketing area. Among other problems in marketing for an entrepreneur are developing a market plan, identifying new opportunities, branding the firm, competition from large businesses, getting positive publicity, identifying the customers, implementing marketing strategies, understanding the customer, overcoming negative perceptions, effectively networking, getting business from large corporation, getting the decision maker, and developing new products and services.

Technology Problem

The technology problem for entrepreneurship has a lot of causes that worsen it. Basic physical infrastructure needed for economic development like good transport facilities, power supply are in a very bad shape in most developing countries consequently posing a problem to entrepreneurship. An example is the damage of equipment as a result of power surges and down time caused by unavailability of electric power during production hours. Cogbun and Adeya (2000) wrote about the weakness of infrastructure for information and communication in most African countries. Right or the ability to use information infrastructure is measured as an essential provision for general socio-economic improvement in this time of globalization and information economy, though these infrastructures are in different level of exhibition in African countries. Aiyedun (2004:4) explained technology as one problem in small business enterprises in Nigeria. Okpara and Wynn (2007) wrote that it is pathetic that access to

internet services, modern information and communication technology is still regarded as accessible to limited categories of people in Nigeria. According to Aiyedun, (2004), promoting entrepreneurship in a country needs government provision of efficient communication, software development, water supply, electric power supply, rural wireless telephony and software development, road networks, vocational training, water supply and boreholes, simple tools and equipment, good telecommunication alternative energy source.

Other Common Problems of Entrepreneurship in Nigeria

Some Entrepreneurship cease to exist within the initial three to six years of its existence while some struggle to survive up to ten years. These are caused by numerous reason which includes lack of infrastructures, irregular power supply, conducive educational and technical environment, lack of research and development, unfriendly fiscal policies, excess taxes and levies rates, inconsistencies of policies, high cost of funds due to high charges from bank in their interest rate, limited access to a long term fund, lack of skill and experience required, insecurity, competition with foreign products, restricted access to market, high cost of production as a result inadequate infrastructure, limited access to a long term fun, poor product quality output, lack of training or development for their staff.

Cultural Issues at Work in the Entrepreneurial Process

Let us start by first defining Culture and Entrepreneurship independently to understand the relationship between these two seemingly different subject matter and the cross cultural effect in the Entrepreneurial process. Culture refers to the enduring set of values and expected behaviour of a Nation, a Region or an Organisation. Entrepreneurship is defined as the act and process by which Societies, Regions and

Organisation or Individuals identify and pursue business opportunities to create wealth. Entrepreneurs drive the economy because they create wealth through innovations, risk taking and management. Cultural values indicate the degree to which a society considers entrepreneurial behaviour. Successful entrepreneurial process depends on different cultural issues and factors including the characteristic of the entrepreneur and the entrepreneur's Cultural, Psychological and Economic Environment.

The Characteristic of the Entrepreneur under this sub topic will be studied from a different viewpoint of the Personality, Background and Gender of the Entrepreneur. The Total Environment of the Entrepreneur will include, but not limited to, Traditional Belief System, Religious Sentiment, Ethnic Sentiment, Education, Language Barrier and Uncertainty Avoidance.

1. Personality: Some Individuals have a high inclination to create a venture and succeed than others. They have a high tendency to be able to take and manage risk. Personal values and goals also have a high role in determining the level of interest of an individual in becoming self employed and venturing. For example, when the Banking Sector in Nigeria first went public and many initial offers were available in the stock market, some individuals took the opportunity to buy shares; many of these people made money, and a few lost money depending on the banks they took the risk of investing in. There were several individuals who preferred to observe the market to know when to buy and never did because their analysis paralyzed their intension to buy; while others never wanted anything to do with it because according to them “the risk is too high”. These risk averse individuals never benefitted from the then juicy investment opportunity in the boom that the banking sector enjoyed for some time.

2. Background/Family: Background most often than not informs your personal values and goals in life. A person from a business inclined family or a person from an area where business is highly appreciated has high tendency to venture into business, become innovative, take calculated risks and be committed to the success of the business than a person from a *Business Disadvantaged Family or Area*. A good example will be the people from the South Eastern part of Nigeria who are largely business people and are principally responsible for the beehive of business activities in our ports and cities. Dangote, for example, while growing up is said to have learnt a lot from his uncle Dantata.

3. Gender: This involves the attitudes and perception of people on the fact of being a male or female in the society and how this influences their social interactions. Today, women entrepreneurs regardless of their impact and contributions to global business still face gender challenges as owning a business is a non-traditional occupation for women in many cultures. Nigeria with a fast growing business opportunity is still considered to hold conservative values and traditional customs in doing business and not allowing women take important role in business. Entrepreneurial activity is recognised to be an occupation for men whereas women should take care of the home front. As many other African country, Nigeria is a Patriarchal society, it goes to say gender expectation is that women should be humble and modest and that they should take less dominant role in entrepreneurial activities. In a research carried out recently a woman entrepreneur was quoted as saying “As a married woman, I cannot spend a lot of time with my children, it is hard, and Men in Nigeria do not offer to help out with the Kids” (Woldie & Adesua, 2004:86). In some Nigerian societies, women are most times denied access to property and land ownership, this tantamount to

lack of access to funds for business especially large business as there will be no property to use as collateral. In a study conducted recently, the number of application for loan in Micro Finance Bank of Male and Female is a ratio of 65% to 35% (Nigerian Women, 2010). In Nigeria (within the last few decades), it is seen that women are changing their traditional family roles (subservience, supportive and submissiveness) as more women are now involved in entrepreneurial ventures and business management in order to provide income for their family and home keeping. Men are beginning to also appreciate women entrepreneurs and their influential impact in global economies and business today.

4. Traditional Beliefs: Traditional beliefs also play a major role in business development and progress. Areas where tradition forbids its people from using, consuming and marketing a product or services may not appreciate its market value outside its domain. In some part of Cross River State, dogs are consumed as delicacies whereas in other areas dogs are reared as a business to make money. Dogs can be cross-bred and sold for purpose of security keeping or as pets. A part of Delta State forbids any association with rabbits and might not know the market value of it elsewhere. In Nigeria Cassava is primarily farmed for consumption. It is processed into garri, starch, cassava flakes (bobozi), cassava flour (fufu or akpu) for human consumption. By the general tradition and practice, cassava and its bi-product is a staple “food”. An average Nigerian especially from the South must swallow food made from cassava in a day. He is not aware of the business potentials of large cassava plantation for industrial usage. The Asian Tigers have become very innovative with cassava, and built an industry to make flourishing business as they use it for making industrial starch and fibre for car bumpers.

5. Religious/Ethnic Sentiment: Religious and Ethnic belief also determines the kind of business that will thrive in a particular Area. Some religion forbids its member from associating with snails or pigs. The members of such religion disassociate themselves from related businesses. It is indeed a suicide mission to sight a Piggery in a predominant Muslim community. It is equally a mission impossible to operate a beer/liquor business in a sharia compliant state in Nigeria.

6. Education: Like most African countries, Nigeria is still known for its high level of illiteracy. Lack of education is a barrier for successful entrepreneurial activities as education enhances self-esteem, confidence and gives the individual a clear edge especially when in a very competitive business. Entrepreneurship education puts a trainee in an advantage especially where the individual has no natural inclination for business or is not from a family of business people. However, it is important to recognize at all times that “some Entrepreneurs are born, and some are made”. Cosmas Maduka, owner of Coscharis Group of Companies, though without a formal education is a successful business man. Many people are not that “lucky”. Many Nigerians with access to entrepreneurship education and training, especially those who went through the Executive Training programmes in some Business Schools had the opportunity of acquiring knowledge through education and creating wealth from scanning their environments for viable business opportunities and helping in nation building through adding value to natural local economic products. They are creating wealth from solving societal challenges; e.g. from managing waste products and converting same to manure or energy.

7. Language: Nigeria is a multi-lingual African country that has a large number of its population living in rural areas. Because of lack of education in many of these areas, the rural

dwellers may not be able to take their products out for sale in the larger markets due to communication challenges and therefore do not participate in the larger national/international economic/commercial activities. And so the only way to break this disconnect is that the entrepreneur intending to do business there should learn to understand and speak the language of the people. He will thus become an acceptable member of the community, gain their confidence and subsequently establish and run a successful service enterprise. He can also assist them in the national/international marketing of their local products.

8. Uncertainty Avoidance: Uncertainty avoidance is a cultural trait closely linked to attitudes of risk taking. Uncertainty avoidance can be interpreted in relation to the extent which a society tolerates ambiguity. An average residence of Lagos State is a risk taker and a hustler, this accounts for why businesses thrive there. On the other hand, the average man (living in the villages in the interior of the country) would not dare to take too many risks and so remains contented and comfortable with his status quo. The higher the level of uncertainty avoidance in a society, the lesser the society is inclined to be entrepreneurial. The fact that the Central Bank of Nigeria has decided to test-run its cashless-economy policy in Lagos is indicative of the readiness of people in Lagos to cope with the uncertain environment this new policy might bring at the initial stage.

Cultural values may be a source of competitive advantage for local enterprise in some societies. However, the current trend in the globalization of business, ease of transportation, improved education and modern communication services, along with the increased access to these services are eroding the significance of local cultures as a deterrent for foreign direct investment. People are becoming more homogeneous particularly within the business context through the use of joint venture agreements.

A new trend is for people to explore their culture and develop a viable cultural tourism trade. For example, the annual Abuja Cultural Festival can run parallel cultural, art and artefacts, and national cousins' exhibitions. Participating SMEs, sponsored by their state/local governments, will not only benefit financially but will also learn from each other how to improve on their presentations and quality of goods and services.

How to Monitor and Identify Opportunities / Threats and How to Deal with such Opportunities / Threats in the Environment.

Everyone has a good business idea from time to time, but it takes the spirit of an entrepreneur to turn those innovative business ideas into real, sustainable businesses. You have to have the drive to see your plan through to fruition, and you have to be able to come up with a business plan to ensure that you are doing things correctly. If you are at a loss when it comes to new business ideas, take some time to sit down and think about different types of services and products that people want and will be able to use often. The following list of business ideas should help to get your creative juices flowing.

If you are a creative individual, going into business for yourself can be a breath of fresh air. You will be able to work in a field that you enjoy, and you will be creating things for a living. Here are some of the top business options for you.

Digital and traditional photography holds quite a few possibilities. You can sell your photos on stock sites, become a photographer for weddings and parties, and even sell photos to magazines. Graphic artists can create logos and web graphics for companies and individuals, and they can create t-shirts, prints, and more to sell on their own. Writers have more options today than at any time in

the past. Writing content for websites, writing and publishing e-books, and blogging for profit are all real, sustainable sources of income.

If you are a service oriented person, you should consider all of the different types of services that you've had to use in the past, and services that you wished existed. If you've had a desire for these services, you can bet that others will too. For example:

- Organizing parties and reunions can be a hassle, and it takes a detail-oriented person who loves the process to be able to do it right. If you have the drive, you might want to consider becoming an Event Planner. You can organize birthday parties for children, events at galleries and other public buildings, corporate events for clients, etc.

- Another type of service business that you might want to consider is a house and carpet cleaning service. People often don't have time and the technology to do these things on their own, and they are more than willing to pay someone else to come in and do it for them.

As you begin the process of finding and developing the best business strategy for your perfect business, understanding the distinction between the entrepreneur and proprietor is vitally important to you.

There are two key distinctions:

- The “**entrepreneur**” builds value in the market place primarily by leveraging the skills and assets of others, not through his individual technical contribution.

- The small business “**proprietor**” tends to build his business around himself, his craft, or his expertise and weaves himself into the fabric of the business often to such a degree that the business would not function without him. Which are you? Do you think you can be a little of both? While you can certainly create astonishing success as either one of them, knowing which appeals to you and aligns best

with your goals and what you want to invest your energy doing will help you understand the business systems and processes you will want to plan on implementing.

Have you ever heard the expression ‘**success leave clues**’? It's true. For some crazy reason many people believe that they are supposed to automatically ‘know’ what they need to know about succeeding in life and business. But when you think of the number of variables and limitless complexity let alone all the complex beliefs and psychological belief factors involved, it is clear that this is just plain wrong thinking. No matter how much (or little) experience you have, you need a step-by-step system to guide you from where you are to where you want to go. You're going to learn the secrets to bypassing the hazards and stumbling blocks and avoid the costly mistakes that curtail, inhibit or even completely thwart the success of most other business owners.

Start with Mindset Development

- You should intuitively sift through complexity of opportunities to consistently make the right decisions and take **ONLY** the actions that propel your perfect success forward; and obliterate the subconscious limiting beliefs, self doubts and mental saboteurs that inhibit or completely thwart your success efforts

- You should master powerful advantage-making methods and problem-solving techniques that generate and sustain astonishing levels of success

- You should know with 100% certainty that you cannot fail and enjoy the time, freedom and lifestyle you prefer; and have fun doing it

- You should mentally organize your perfect business so that you'll be doing **ONLY** what you love and where your contribution has the biggest impact

- You should develop an unshakable success “mindset” which is literally immune to the mental saboteurs that plague so many others; and acts as a lightening rod for action oriented inspiration that will continue to generate the success you seek almost automatically

Before proceeding much further, you should subject your Business Ideas to SWOT Analysis (see worksheet 1). A good business idea shares the following:

- Start with your passion and be open to and unquestioning of inspiration when it comes
- Stay true to your vision and don't be dissuaded by nay-sayers or persuaded by 'shiny' distractions
- Make it about something bigger than yourself
- Keeping it simple does not mean it's wrong

The actual process of Business Development involves the following:

➤ **Validate Your Perfect Market** You'll lock-on to and validate your perfect market niche and deliver your uniquely valuable solution to a growing population of delighted and appreciative customers

➤ **Create a Financial Success Strategy** You'll have a financial plan for your perfect business that utilizes the resources you have available and grows the asset-value of your business without taking unnecessary financial risks

➤ **Step-by-Step Action Plan** You'll have a crystal clear road-map and a step-by-step action plan guaranteed to get you where you want to go without costly detours

➤ **Clarity, Motivation & Purpose** You'll design and implement your action plan in the power and clarity of purpose so it charges you every step of the way with motivation and an unwavering commitment to accomplishment

➤ **Effortlessly Grow & Succeed** You'll command a daily routine that triggers the perfect action at the perfect time and results in continuous accomplishment, growth and success each and every day

➤ **Access a Network of Successful Entrepreneurs** You should belong to a network of like-minded success-bound entrepreneurs who speak a common language and will help you stay clear of trouble and focused the right

things each and every step of the way. There are many business associations in Nigeria like NACCIMA, NASME, MAN, NASSI, etc; and you can join any of these in your local area.

In summary you should take the following 4 steps to clarify your business plan and provide a guide in the implementation strategy.

1. In one sentence state what you intend to do or produce and what perceived need you intend to satisfy;
2. How much fund do you need to actualize your plan? This should also include a clear understanding of the time frame of how much you need to execute your plan. Create a cash flow plan; and be careful in the projection of your expected revenues and the timing of such expectations. This is to establish that the business is viable.
3. Develop a time-bound road map to get your business executed; and locate the various milestones that must be achieved for your business to blossom. It is important to understand the risks associated with each milestone and be prepared to mitigate such risks;
4. Finally, answer the question: 'why are you uniquely qualified to succeed in this venture?'

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Creativity and Creative Thinking

Ajike, E. O.

Introduction

Creativity involves the ability to bring into existence new things, ideas, products and processes through imaginative skills. Most entrepreneurs that are creative are very passionate about their work, willing to take risks, and they trust their intuition. Creative thinking can be defined as the art of generating solution to problem by the force of imagination and reasoning. It is an activity of the mind seeking to find answers to some of life's problems. Thus, there are legal provisions and processes that entrepreneurs can utilize to safeguard their new ideas/knowledge, innovations and inventions.

Definition of Creativity

The Encarta Dictionary provides the following definition of creativity:

1. Being creative - The quality of being creative.
2. Imaginative ability The ability to use the imagination to develop new and original ideas or things.

Creativity is a noun. It is the quality of being creative. In the concise Oxford dictionary creative is defined as: “creating; able to create; inventive, imaginative; showing imagination as well as routine skill”. People tend to confuse creativity with innovation; creativity is the getting of ideas, innovation

is the implementation.

Creativity is inherently easier than innovation. What is often missing is not creativity in the idea-creating sense but innovation in terms of an action producing sense, i.e. bringing ideas to fruition.

Creativity is the driving force behind new knowledge creation and the generation of innovative outputs. Businesses that are able to effectively source and absorb knowledge and information are more likely to apply it creatively.

Being creative is thought to be much easier than the ability to actually implement ideas. Assumptions that creativity automatically leads to innovation are incorrect. To be creative requires divergent thinking which is basically the generation of many unique ideas. After this process is complete, it then requires convergent thinking which is the process of combining those ideas into the best result.

It is about having a flow of energy and ideas and being open to accept that ideas can come from many of the experiences that life provides us with. Seeing existing things in a new, fresh and appealing manner. "It comes from every direction, and very often, unexpected places. It can't be measured, graphed, mathematically solved. It's internal, instinctive, and insane." One of the simplest definitions of creativity is "the combination of two or more (often unrelated) items into something new."

Creative Ideas

It's About...

- breaking from the past and seeing new ways to old problems.
- pushing beyond routine and trying new approaches.
- asking why not but also it's about realizing that usually there is a good reason why not.

From a business perspective it means considering profit and loss and legal and ethical issues.

Creative Ideas Happens Subconsciously

Outside of conscious awareness mental activity continues which is why ideas often come to us via daydreams, or after a good night's sleep.

Who is Capable

Everyone is capable of creating new ideas and often it is simply the process of taking an existing idea and building upon it. Each day, we formulate different sentences when we speak, we brush our teeth a slightly different way each morning and we keep having new thoughts and dreams. This novel behaviour is only labelled creative when it adds some special value to the community. Ideas often occur by combining two or more elements of knowledge together. If the resulting combination could add value to someone or something then the idea can be labelled an innovation idea.

Record your Ideas example from Thomas Edison

It is important to record all of the ideas that you have. Thomas Alva Edison recorded and illustrated every problem he worked on in a notebook. He used his notebooks to review past experiments in light of any new learning's and often he would review his notebooks to try and provide new ideas and insight to other projects that he was working on. Edison would also record observations of the natural environment and he would read others creative ideas, research papers, failed patents and ideas from other fields.

Seek Out Problems

Keep on the lookout for problems within your workplace. Which problems are your biggest, most urgent? These could also be your biggest opportunities. Get your creative juices flowing and start working on some creative solutions today. For some structured assistance check out creativity techniques which will be discussed later in this chapter

Creative Thinking Process

Creative thinking is the process of coming up with new or modified ideas. Most ideas are in fact modifications of something else that exists within your knowledge base. By using imagination, intellect and existing knowledge you can form in your mind a new thought or idea. This is part of your intellectual personality and can be applied to everyday situations.

Three human thought processing functions drive your ability for creative thinking:

1. **Strategy:** How you organize and plan your thought processes. Evaluation of thoughts and ideas and future plans based on any given situation or problem.
2. **Knowledge base:** Your acquired information on a group of subjects and problem domains. You draw on this information in order to be able to solve problems or add new thinking to situations.
3. **Motivation and your attitude:** Such factors are often driven by your personality, energy levels, perseverance and your self-confidence which in turn are acquired from a lifetime of experiences and interactions. Motivation and attitude affects the decisions and direction that you take in order to get to a desired result.

Creative thinking is driven by convergent thinking and divergent thinking and every decision that you make in a typical day involves these two components. As humans we are creative but sometimes we fail to fully utilize this skill. Creative thinking reduces stress and can make you more successful.

Creative Thinking Thought Processes...

1. Start thinking outside the box.
2. Observe what others do and ask lots of questions as to why they do something in a particular way.
3. Read widely - including non-familiar subject areas.

4. Look to resolve problems in unique ways and after first considering how others have solved similar problems.
5. Add some colours that inspire creativity to your personal workspace. Being surrounded by colours that elicit positive emotions can be an important catalyst towards creative thinking.
6. Look beyond your local environment and see what others are doing.
7. Take responsibility for your own personal creative skills development - thanks to the Internet vast amounts of information are readily available to all.
8. View some creativity quotes. See page 79.
9. Have fun - coming up with new and creative ideas to problems can be a fun and enjoyable experience.
10. Be passionate - every idea has many reasons why it won't work, if you have passion you will find many ways to offset those reasons.
11. Turn things upside down - thinking of how things would behave when turned back to front can often bring new ideas to your problems. When concorde was invented they had a problem in that the pilots couldn't view past the nose. A first idea was to turn the cockpit literally upside down and have the viewing window below the nose - eventually though they came up with a more practical solution i.e. allowing the nose to turn at an angle.
12. Look at some of the existing creativity symbols or have a go at designing your own symbol of creativity.
13. Be curious - ask questions that others haven't. Try and ask inquisitive questions such as - why is it done that way?
14. Take some inspiration from the one of the most prolific inventors the world has ever seen Thomas Alva Edison.
15. Don't restrict creativity to brainstorming sessions only - always ask yourself if things could be done a better way.

16. And don't only use brainstorming as a tool for generating creative ideas. For a change try brainwriting this method can often get more of the team involved by asking them to write ideas down or expand on existing ideas by writing on a piece of paper which is passed around the group.

17. Be flexible and open to new possibilities. Push beyond routine by trying new approaches to familiar daily tasks.

18. Be willing to question all assumptions.

19. Be aware of the barriers to creativity.

20. You don't have to limit creativity to that important work assignment or to your latest project. Practice being more creative by applying everyday creativity to your life. This can be as simple as taking a different route to work or cooking something new for dinner.

21. Adopt a creative personality.

22. Realize that you don't have to be a genius to come up with great ideas and so take steps now to start improving your creativity.

23. Teach creativity to others by giving a creativity lecture.

24. Collect visual images either by doing an image search on the Internet or by browsing through magazines. Look at each image you have collected and challenge yourself to come up with a new idea to improve it in some way.

25. Bookmark websites that inspire creativity or promote new ideas. Also bookmark web sites that are relevant to your particular problem or creative idea. Combining others ideas or adding new information and facts to what you already know can be a great input to your creative thinking.

26. Listen to your favourite music. Create a playlist of tracks that inspire you. From classical to rock, pop or hip hop - whatever works best for you.

27. Create a creative place for you to work from. There is much you can do to your workplace to make it more conducive to creativity - from decluttering to visual aids and lighting.

28. Ask yourself why a product or service is as it is? Is there anything that can be improved? Is there a completely different way of performing the same service. Can a product be redesigned so as to provide the same functionality in an entirely different way? Is all that functionality necessary or conversely could there be more functionality? Ask as many questions as you can, particularly the ones that challenge existing knowledge, experience and assumptions. Most innovations begin with someone asking a simple question.

29. Research conducted in 2012 said that rather than being at your most creative when you are alert you are more likely to be at your most creative when you're feeling a little bit groggy. So perhaps leave your creative thinking moments to the parts of the day when you're feeling a little less energetic than normal

Differences between Critical Thinking and Creative Thinking

i. Critical thinking is much of the thinking done in formal education. It emphasizes the skills of analysis--teaching students how to understand claims, follow or create a logical argument, figure out the answer, eliminate the incorrect paths and focus on the correct one.

ii. Creative thinking focuses on exploring ideas, generating possibilities, looking for many right answers rather than just one. Both of these kinds of thinking are vital to a successful working life of an entrepreneur.

Seven Types of Creative Contributions

i. Replication - confirming that the given field is in the correct place

- ii. Redefinition** - the attempt to redefine where the field is and how it is viewed - forward
- iii. Incrementation** - a creative contribution that moves the field forward in the direction in which it is already moving
- iv. Advance forward movement** - which advances the field past the point where others are ready for it to go
- v. Redirection** - which moves field in a new or different direction
- vi. Starting over/ re-initiation** - moving the field to a different starting point and
- vii. Integration** - combining two or more diverse ways of thinking about the field into a single way of thinking.

Creative Methods

Several methods have been identified for producing creative results. Here are the five classic ones:

- 1. Evolution** - This is the method of incremental improvement. New ideas stem from other ideas, new solutions from previous ones, the new ones slightly improved over the old ones. Many of the very sophisticated things we enjoy today developed through a long period of constant incrementation.
- 2. Synthesis** - With this method, two or more existing ideas are combined into a third, new idea.
- 3. Revolution** - Sometimes the best new idea is a completely different one, a marked change from the previous ones.
- 4. Reapplication** - Look at something old in a new way. Go beyond labels. To remove prejudices, expectations and assumptions and discover how something can be reapplied.
- 5. Changing Direction** - Many creative breakthroughs occur when attention is shifted from one angle of a problem to another. This is sometimes called creative insight (Harris, 2012).

Creativity Techniques

✓ The Reversal Technique

You should apply the reversal technique to challenge your assumptions of a particular subject area. Just because something has always been a particular way doesn't mean that it necessarily needs to be that way in the future.

✓ The Scamper Technique

Use the scamper technique to manipulate an existing idea. SCAMPER stands for: Substitute; Combine; Adapt; Magnify-Modify; Put to other uses; Eliminate; Rearrange-Reverse.

✓ The PMI - Plus / Minus / Interesting technique

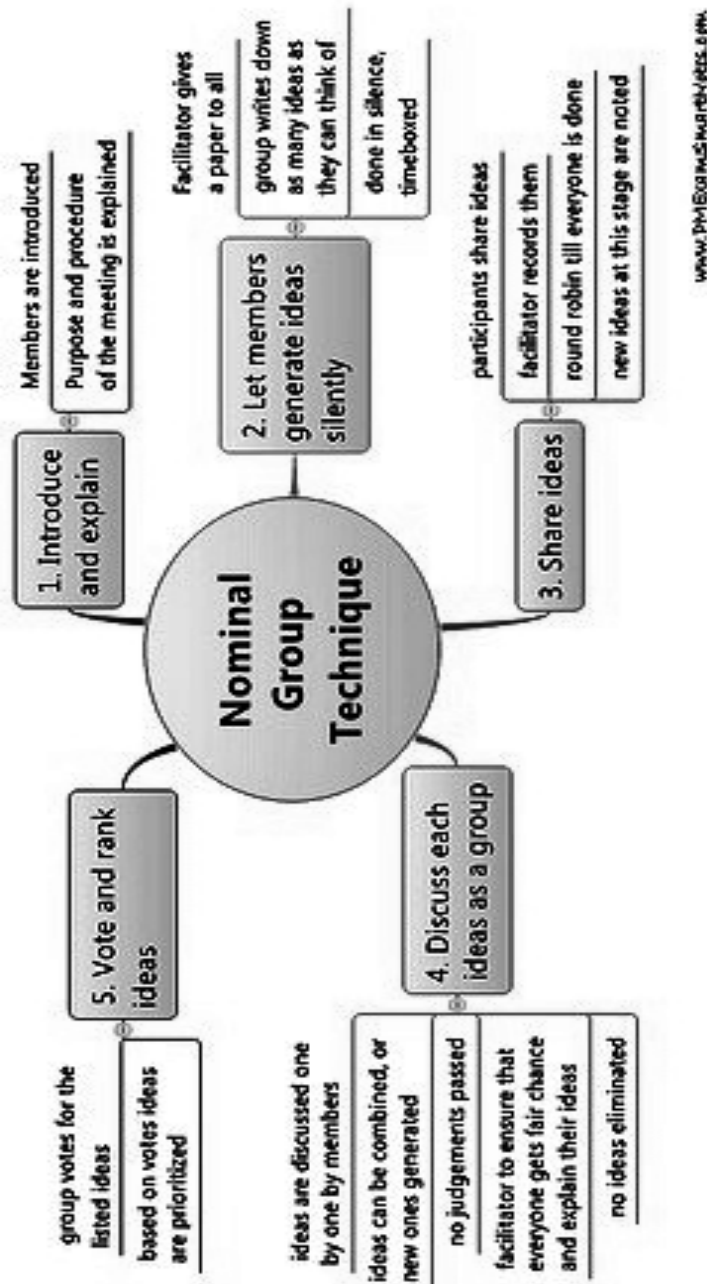
Use the PMI - Plus / Minus / Interesting technique to weigh up the pros and cons of an idea or decision. A lateral and creative thinking technique developed by Edward De Bono which is pretty similar to the pros and cons technique that people have used for many years.

✓ The Brainstorming Technique

A lateral thinking process used to gather a large quantity of ideas usually related to a specific problem or topic area. It is a popular technique used by many as it can quickly produce many new ideas in a short period of time. Brainstorming where you usually meet as a group and have an open-ended discussion related to generating new ideas. Key to this process is the logging of ideas i.e. no idea should be dismissed regardless of how crazy it may sound. Evaluation is kept for a later meeting.

✓ The Nominal Group Technique

If you're not getting enough group participation from your brainstorming session then you may like to try the nominal group technique. This technique has many similarities to brainstorming however it enables participants to submit their ideas anonymously.



✓ The Brainwriting Technique

Brainwriting is an attempt at improving on the brainstorming technique. It prevents people's ideas from acting as a barrier to other people's ideas and is supposedly more likely to get all in a team to contribute.

✓ Day Dreaming

Start day dreaming. Let your mind wander off to far away or strange places. Doing so can be an excellent method for getting creative ideas.

✓ Lateral Thinking

Use lateral thinking which attempts to make you consider changing concepts or perceptions to find a creative solution to a problem domain. It gets you to consider methods that might at first seem illogical or not quite right.

Negative Attitudes that Block Creativity

1. Oh no, a problem! The reaction to a problem is often a bigger problem than the problem itself. Many people avoid or deny problems until it is too late, largely because these people have never learned the appropriate emotional, psychological, and practical responses to situations and problems.

2. It can't be done. This attitude is, in effect, surrendering before the battle. By assuming that something cannot be done or a problem cannot be solved, a person gives the problem a power or strength it didn't have before.

3. I can't do it. Or there's nothing I can do. Some people think, well may be the problem can be solved by some expert, but not by me because I'm not (a) smart enough. Who were the Wright brothers that they could invent an airplane? Aviation engineers? No, they were bicycle mechanics. The

ball point pen was invented by a printer's proofreader, Ladislao Biro, not a mechanical engineer. Major advances in submarine design were made by English clergyman G. W. Garrett and by Irish schoolmaster John P. Holland. The cotton gin was invented by that well known attorney and tutor, Eli Whitney. The fire extinguisher was invented by a captain of militia, George Manby.

4. But I'm not creative. Everyone is creative to some extent. Most people are capable of very high levels of creativity; just look at young children when they play and imagine. The problem is that this creativity has been suppressed by education.

5. That's childish. In our effort to appear always mature and sophisticated, we often ridicule the creative, playful attitudes that marked our younger years.

6. What will people think? There is strong social pressure to conform and to be ordinary and not creative.

7. I might fail. Thomas Edison, in his search for the perfect filament for the incandescent lamp, tried anything he could think of, including whiskers from a friend's beard. In all, he tried about 1800 things. After about 1000 attempts, someone asked him if he was frustrated at his lack of success. He said something like, "I have gained a lot of knowledge" (Harris, 2012).

Managing Creativity

Managing creativity is key to competitive advantage because the successful generation and exploitation of ideas is essential for sustained success in the marketplace.

Definitions: It is probably best to start with an understanding of exactly what is innovation and a definition of creativity as the two are often used interchangeably,

however there is a clear distinction. Creativity is the thinking that puts forward different understandings of a situation whereas innovation is the actual implementation of creative ideas, which often results in a new product, service or process.

Sources of Creative Ideas

When managing creativity you need to be aware of where creative ideas can originate...

1. **Employees** Your employees work closely with your processes, day-to-day issues / problems and with your customers. They will no doubt have very detailed knowledge of such and be in a position to recognize threats, opportunities and suggest ways that things could be improved.
2. **Customers** Your customers are an important source of information. Customers usually purchase a product or service to assist them with some task, job or requirement. Understanding that requirement and in particular how well you are meeting that requirement can be key. Listen, understand and think about complaints, feedback and praise that you receive from your customers.
3. **Suppliers** Relationships with suppliers can be used to your advantage. Look out for ideas and processes used by your supplier that could be translated over to your organization.
4. **External environment** Ideas can come from many sources and therefore being aware of the environment beyond your organization is key. Read widely, newspapers, journal articles, trade / professional papers.
5. **Chance** Creativity can often stem simply from some unplanned circumstance. For example it is said that 3M's scotchgard product was developed after an employee spilled some chemicals on her running shoes and noticed that the area affected by the spill kept cleaner longer than the rest of her shoe.

6. Competitors Actively seeking intelligence on your competitors can alert you to new developments, which in turn can lead to new ideas on how best to compete.

Promoting Creativity and Innovation

Creative, value driven ideas can form the basis of a strong competitive advantage and is therefore advantageous to yourself and the organization that you work for. For this reason when managing creativity it is also important to promote creativity and innovation within your team. Welcome all ideas however ridiculous they may seem at first and praise people for coming forward with ideas. Use tact to graciously put aside any ideas that are unworkable. Don't judge too quickly though... many great ideas are rejected prematurely due to not enough time been taken to make an informed decision. Also consider that ideas that at first seem unusable could become useful in a different context, time period or when combined with other ideas.

Steps to Improving Creativity

Improving creativity tends to be a goal for many as few people see themselves as creative. The reality is that you don't have to be a genius, highly educated or extremely intellectual to come up with some great ideas.

✓ **Review Creativity Techniques**

A good place to start in order to improve your creative abilities is to review and experiment with some creativity techniques.

✓ **Get Fit**

Another way to assist in improving creativity is to get fit. To be at your most creative level, it is best that you feel alert, fit and healthy. Good ideas are more likely to come forward when we are feeling great about ourselves.

Exercise stimulates the production of important brain chemicals including Brain-derived neurotrophic factor (BDNF) which is a protein important for long term memory and encourages the growth of new nerve connections.

✓ **Step Out Of Your Comfort Zone**

Tasks that you don't feel comfortable doing are usually tasks that you have little or no experience of. Stepping out of your comfort zone and completing such tasks therefore enables new experiences and new knowledge, which in turn make it more likely for you to form new connections with areas that you are knowledgeable about. Such relationships can lead to new creative ideas.

✓ **Keep A Notebook, PDA Or Some Other Recording Device Handy**

Ideas pop in and out of our minds all of the time. You can never be quite sure when you will have that aha moment so when you do it's key to have some method of recording the idea.

There is nothing worse than forgetting a great idea. Even though you think you will remember it the chances are that you won't. Don't take that chance, use some form of recording device to note your ideas down.

Consider Something That You Do or Use Every Day and Think About How You Could Improve On It. What could you change to the thing or action so as to make your life easier? Many businesses maintain a steady stream of income by making incremental innovation improvements to the products or services that they offer. Perhaps you can come up with the next great incremental improvement to a product that you use on a regular basis? Observe things with a critical eye. If you think there is a better way to do a particular job then go ahead and try it.

✓ **Learn Something New**

Learn or read about a subject that you are unfamiliar with. Start a new hobby; visit a place you have never been to before or listen to some different music. New experiences and connections get your brain buzzing. New knowledge from new subject areas when combined with existing knowledge can lead to new creative ideas. Reading through ideas from others is a great way to improve creativity. Look at how people have thought of dual purposes for everyday objects or how they have made something easier to use, quicker, faster, smaller, bigger, etc.

Barriers to Creativity

Barriers to creativity can prevent us from unlocking the creative potential that we are all capable of. Being aware of the barriers should prepare you for recognising when they occur and arm you with the potential to break past them. Barriers Include:

✓ **Functional fixedness**

Functional fixedness is a term used by psychologists and means to only see the obvious ways of looking at a problem. It's where the individual does not leave their comfort zone when thinking about solutions to a problem domain. This has much to do with an individual's past experience. Locked in perceptions make it difficult to look at a problem from different viewpoints. If you are locked down to a particular way of doing something then it is very difficult to come up with new and creative solutions.

✓ **Self Censorship**

Self censorship is that inner voice that holds you back and tries to prevent you from making a fool of yourself or looking stupid. It's the negative thoughts that come into your mind, such as "that will never work".

✓ **Micro Management**

Micro management stifles a person's ability to be creative as micro managers provide too much detail related to how a particular task or problem should be tackled. This reduces the ability for the person to think for themselves and add their own creative flair.

✓ **Over Thinking**

Over thinking about a problem or task uses the logical conscious side of our mind. Often creativity comes from the subconscious mind so rather than over thinking it might be wise to go for a walk or simply start daydreaming.

✓ **Image Risks**

Image risks are where people worry about the impression that people will have of them after suggesting an idea. If an individual's role does not specifically call for creativity or innovation then they believe that co-workers will think negatively of them if they try and come up with better ways to do things. It's the thought of making someone angry by initiating change that upsets the status quo.

✓ **Lack of Time**

Lack of time and/or opportunity. People often feel that they are too busy with their day-to-day efforts to have time to focus on being creative. Resolve this by setting some planned time a side each and every day for creative efforts.

✓ **Lack of Sleep**

Lack of sleep not only forms barriers to creativity but to most other things too! Try and lead a healthy well balanced life with lots of exercise and water and healthy nutrition. You're more likely to generate ideas if you are well rested and feel great about yourself.

✓ Criticism

Criticism by others can put you off from proceeding any further with your ideas. Try and dismiss negative thinkers or win them over by demonstrating the validity of your idea with a prototype.

Stages of Creativity

Over the years many models for the stages of creativity have been suggested by various subject matter experts. The stages help provide structure and clarity on the mental and physical states of the individual. Most of the models tend to include at a minimum the following key stages:

✓ Incubation

Incubation is the stage where you have had time to absorb all of the information and facts about a problem and you are now letting your subconscious mind do the work of finding creative ideas and solutions. The subconscious mind is the creative powerhouse. It can combine ideas by relating them with all of the other information that you have received over your lifetime in order to come up with novel, interesting solutions to problem areas. The subconscious mind works best when you are not thinking about anything in particular. This is why people often say that their great ideas come to them while having a bath, or taking the dog for a walk, or just sat gazing out of the window, etc.

✓ Illumination

Illumination is the “Aha!” moment when all of a sudden the answer you have been seeking comes to you. This is a great stage in the creativity process where you will often feel elated due to coming up with a great new idea.

✓ Translation

Translation is the final stage of the process where an idea is transformed into an action plan that ultimately results in something of use or value to someone.

Creativity Quotes

"The horse is here to stay, but the automobile is only a fad"

--President of the Michigan Savings bank (When advising Henry Ford's lawyer not to invest in the Ford motor company)

"Creativity is allowing yourself to make mistakes. Art is knowing which ones to keep."

--Scott Adams

"What is genius - but the power of expressing a new individuality?"

--Elizabeth Barrett Browning

"A single idea, if it is right, saves us the labor of an infinity of experiences."

--Jacques Maritain

"Our best ideas come from clerks and stockboys."

Sam Walton

"Man is an imagining being."

Gaston Bachelard

"Making the simple complicated is commonplace; making the complicated simple, awesomely simple, that's creativity."

Charles Mingus

"There's no good idea that cannot be improved on."

Michael Eisner

“One of the illusions of life is that the present hour is not the critical, decisive one.”

Ralph Waldo Emerson

"Common sense tells us that the things of the earth exist only a little, and that true reality is only in dreams."

Charles Baudelaire

“The creation of something new is not accomplished by the intellect, but by the play instinct arising from inner necessity. The creative mind plays with the object it loves.”

Carl Jung

“We have approximately 60,000 thoughts in a day. Unfortunately, 95% of them are thoughts we had the day before.”

Deepak Chopra

“If you can dream it, you can do it.”

Walt Disney

“Imagination is more important than knowledge.”

Albert Einstein

“Ideas are like rabbits. You get a couple and learn how to handle them, and pretty soon you have a dozen.”

John Steinbeck

“Nothing is more dangerous than an idea when it is the only one you have.”

Emile Chartier

“Vision is the art of seeing things invisible.”

Jonathan Swift

“After years of telling corporate citizens to 'trust the system,' many companies must relearn instead to trust their people and encourage their people to use neglected creative capacities in order to tap the most potent economic stimulus of all: idea power.”

Rosabeth Moss Kanter

"You have a coyote inside you and you have to get it out"

- *Chuck Jones (The animator who created Wile E. Coyote, on how to draw one)*

"People will soon get tired of staring at a plywood box every night."

- *Daryl F Zanuck (Head of 20th Century Fox commenting on television in 1946)*

“In a real sense, ideas are the lifeblood of organizations and represent their only sustainable competitive advantage. The only way to avoid *Why didn't I think of that?* is to think of it first. Creativity is the most critical of all human resources. Without it there would be little progress, and we would be forever repeating the same patterns.”

- *Creativity Consultant Ted Coulson*

"Begin challenging your own assumptions. Your assumptions are your windows on the world. Scrub them off every once in a while, or the light won't come in."

- *Alan Alda*

"Creativity is inventing, experimenting, growing, taking risks, breaking rules, making mistakes, and having fun."

- **Mary Lou Cook**

"There is a fountain of youth: it is your mind, your talents, the creativity you bring to your life and the lives of the people you love. When you learn to tap this source, you will have truly defeated age."

- **Sophia Loren**

"To be creative, an idea must also be appropriate useful and actionable. It must somehow influence the way business gets done by improving a product, for instance, or by opening up a new way to approach a process."

- **Teresa M Amabile Professor Harvard Business School**

"Take risks, and expect to make lots of mistakes, because creativity is a numbers game. Work hard, and take frequent breaks, but stay with it over time. Do what you love, because creative breakthroughs take years of hard work. Develop a network of colleagues, and schedule time for freewheeling, unstructured discussions. Most of all, forget those romantic myths that creativity is all about being artsy and gifted and not about hard work. They discourage us because we're waiting for that one full-blown moment of inspiration. And while we're waiting, we may never start working on what we might someday create."

- **R.Keith Sawyer - Psychologist and Author**

Nothing is more dangerous than an idea, when you only have one idea. "Creativity is magic" If you don't try something new, you are standing still as an artist."

"Creativity is not being afraid to be different. It takes madness to jump at an idea that no one else believes in."

Questions

- Explain various aspects and types of creativity?
- What are the characteristics of a creative entrepreneur?
- What is creativity? Differentiate between critical and creative thinking?
- What are the negative attitudes that block creativity and the myths about creative thinking?
- What are the Barriers to Creativity?

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Management of Innovation

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Introduction

Innovation is the successful development of competitive advantage; it is the presence of innovation that distinguishes the entrepreneur from others. Innovation must therefore, increase competitiveness through efforts aimed at the rejuvenation, renewal, and redefinition of organization, their markets or industries, if businesses are to be deemed entrepreneurial. Innovation is very germane in business today, without which, organizations will not be able to gain competitive success or advantage. That is, for organizations to survive, grow and maximize desired profitable outcome, they demand innovation.

Innovation is the key to the economic development of any company, region of a country or country itself. As technologies change, old products decrease in sales and old industries dwindle. Inventions and innovations are the building blocks of the future of any economic unit (Hisrich, Peters and Shepherd (2008).

Innovation is needed in firms today because of rapid change in technology, the expanding world and more demanding customers. In the words of Scarborough (2013), the entrepreneurial secret for creating value in the marketplace is applying creativity and innovation to solve problems and to exploit opportunities that people face everyday. From earlier chapters we can see that

entrepreneurs create value in a number of ways: inventing new products and services, developing new technology, discovering new knowledge, improving existing resources and many others. Finding ways of satisfying customer needs, inventing new products and services, putting together ideas in new and different ways and creating new twist on existing products and services are hallmarks of the entrepreneur.

Innovation management is the management of innovation processes. It refers to both product and organizational innovation. Innovation management includes a set of tools that allow managers and engineers cooperate with a common understanding of processes and goals. Innovation management allows the organization to respond to external opportunities and internal strengths, and use its creativity to a company's product development, manufacturing and marketing (Wizolan 2014).

Nature and Concept of Innovation

It should be noted that the term innovation comes from the Latin word 'innovare' meaning 'to make something new'. Entrepreneurship and the innovation resulting from it are important for large and small firms, as well as for start-up ventures, as they compete in the twenty-first century competitive landscape (Ireland, Hoskisson, and Hitt, 2009). It is believed that firms that fail to innovate will stagnate (Karnik 2005).

Innovation is a key outcome firms seek through entrepreneurship and it is often a source of competitive success, especially in turbulent, highly competitive environments. To be market leaders with the competitive intensity of the twenty first century firms must regularly develop innovative products desired by customers. This means that innovation should be an intrinsic part of virtually all of a firm's activities (Subramariam and Youndt).

Definitions

To Kuratko (2009) "Innovation is the process by which entrepreneurs convert opportunities (ideas) to marketable solutions". To Katila and Shane (2005) "Innovation is the act of creating or developing a commercial product or process from invention". According to Jones & George (2007) innovation "is the implementation of creative ideas in an organization". To Fajardo (2009) innovation refers to new or different ways of doing things, like technology, marketing, human relations, management and so forth". Drucker (1988) among other definitions says innovation is "the means by which the entrepreneur either creates wealth-producing resources or endows existing resources with enhanced potential for creating wealth." Sagagi (2010) says innovation "is the successful exploration of new ideas; it is a profitable outcome of the creative process, which involves generating and applying in a specific context product, services, procedures, and processes that are desirable and viable". Sulluwan (2008) says "*innovation is the process of making changes, large and small, radical and incremental, to products, processes, and services that result in the introduction of something new for the organization that adds value to customers and contributes to the knowledge store of the organization*". Innovation to Dundon (2002) is defined as "the profitable implementation of strategic creativity". His definition of innovation has four key components creativity, strategy, implemnetation and profitability. These are further expanded below:

Creativity the delivery of a new idea.

Strategy - determining whether it is a new and useful idea.

Implementation -putting the new and useful idea into action

Profitability - maximizing the added value from the implementation of this new and useful idea.

Sources of Innovation

Edershem (2007) and Kuratko (2009) discussed Drucker's sources of innovation which includes the following: The Trends, Unexpected occurrences, Industry and market disparities, Process vulnerabilities, Incongruities, Demographic shifts, Changes in perception, Trend and New knowledge.

Trends

Trends signal shifts in the current paradigm (or thinking) of the major population. Observing trends closely will grant an entrepreneur the ability to recognize potential opportunity. Trends need to be observed in society, technology, economy, and government.

Examples

Societal Trends: aging demographics, health and fitness growth, senior living

Technology Trends: mobile (cell phone) technology, e-commerce, Internet advances

Economic Trends: higher disposable income, dual wage-earner families, performance pressures

Government Trends: increased regulations, petroleum prices, terrorism

The Unexpected

These are unexpected occurrences that signal that business expectations are out of the normal. Recognizing and understanding the reason for this mismatch is a powerful tool for innovation. These occurrences include unforeseen successes and failures within the organization, and unexpected activities at suppliers, competitors, competitors, customers, and complementors (partners whose products complement yours and thereby create a

combined product or customer experience). These tend to pop up around what everybody knows about a particular product, industry or service. It's not necessary to completely understand why the world is changing, just that it is and how it can be exploited.

Example: The infamous 9/11 terrorist attack on the United States is a good example of unexpected occurrences; it produced an influx of innovative solutions to the newly created challenge of homeland security. So also the non encouraging strikes of Nigerian Universities Lecturers and closing down operations for months gave birth to the establishment of Private Universities in Nigeria.

Industry and Market Disparities over Time or Geography

The second set of circumstances in which a mismatch between supply and demand becomes an opportunity is when a company has stayed constant while its industry structure or market has changed. The “status quo” within an industry seems permanent but is actually quite fragile. These opportunities are valuable because they are visible to people outside of a particular industry and because they force everyone within the industry to redefine their business or perish.

Example: Drucker uses the example of the auto industry transitioning from a luxury industry to a mass market. Different participants in the market reacted differently, but the ones that survived acted. For instance, Rolls Royce actually made cars that were more difficult to use and expensive; aiming to hold the luxury market rather than compete in the mass market.

Incongruities

The gap between what “ought to be” and what “actually is” is an invitation to innovate. Such opportunities are usually qualitative rather than quantitative, so they don't show up “in the numbers.” Incongruities are usually visible to people within an industry, but they have learned to live with them and so ignore them.

Example: Drucker uses the example of shipping before the roll-on, roll-off ship and the container ship. The assumed problem was that shipping was slow and inefficient, so people made faster and more efficient ships. This made the real problem (congestion at docks) even worse. There was a gap between reality and people's assumptions about reality.

Process Vulnerabilities (Needs)

It occurs when an answer to a particular need is required with which an entrepreneur must provide an innovative solution. It is the opportunity that perfects a process which already exists, replaces a link which is weak or redesigns an old process around newly available knowledge. Occasionally it makes a process possible via a missing link. Smart small companies have profited mightily by finding new ways to deal in information and reduce vulnerabilities. It's possible to imagine many opportunities for creating value by connecting specific types of information with people who can benefit from that knowledge.

Example: With the sudden outbreak of the Ebola virus, medical personnel in all quarters are seeking for drugs that can cure the disease and a vaccination that can prevent individuals from contacting the virus.

In the past customers have to go to purchase any type of product that they need physically but in recent times in Nigeria you can shop online and the products will be delivered at ones doorstep. All one needs to do it to inquire of the product online, when satisfied with the information, payment is made online and the product delivered at the customer's door.

Demographic Change

It arises from trend changes in population, age, education, occupations, geographic locations, and similar factors. Demographic shifts are important and often provide new entrepreneurial opportunities. This requires getting out and talking to the people that are a part of the market being affected by demographic change.

Example: With the increasing number of working mothers, many Crèches were opened to accommodate children of professionals from teachers to bankers. Like there is a Crèche that operates from 6.30am to 7pm, the day I saw it, I knew that it is basically to accommodate children of bankers.

Changes in Perception

Whether or not one sees the glass as half full or half empty is extremely important in determining what one wants. These are changes that occur in people's interpretation of facts and concepts and that create opportunities.

Example: The fitness craze globally, which is caused by the perceived need to be healthy and physically fit, has created a demand for both health foods and health facilities throughout the world.

Knowledge based innovation

This is the superstar basis for the creation or development of something brand new and in Drucker's views the riskiest. Inventions are knowledge based; they are the product of new thinking, new methods, and new knowledge. Such innovations often require the longest time period between initiation and market implementation because of the need for testing and modification.

Example: Today's cell phone technology has advanced to include not just phone service but cameras, videos, Internet access, music and much more. This has revolutionized the way different technologies are used today.

Types of Innovation

These are various level of innovation based on the uniqueness of the idea. They are innovations that distinguish ordinary entrepreneurs from extraordinary ones (Hisrich, Peters and Shepherd 2008):

Breakthrough Innovation

These are innovations that lead to major scientific breakthrough. They often establish the platform on which future innovation in an area is developed. They are usually very few. It could be scientific discoveries. It is extremely unique innovations that set to discover the basis of further innovation in an area. Breakthrough innovations include ideas as the computer, the airplane, the internet, artificial life, nanotechnology, steam engine and more.

Technological Innovation

Technological innovation are in general not at the same level as scientific discovery, but they create technological

advancement in product and market areas. For example jet plane, personal computer, voice and text message, phones and more.

Ordinary Innovation

This type of innovation occurs most frequently. Ordinary innovation comes from market analysis and they extend a technological innovation into a better product or service or one that has different, usually a better market appeal. One unique characteristic of ordinary innovation is that the market has a stronger effect on the innovation. For example new applications for PCs, a better supply chain and distribution channels for customers, new improved products we see around us.

Elements of Innovation

The importance of innovation cannot be overemphasized to the entrepreneur in terms of creation of new products, processes, methods, markets and new organization as well as knowing the various elements of innovation. Okpara (2005) identified the following elements:

- a. Challenge: what we are trying to change or accomplish - the "pull".
- b. Customer focus: creating value for customers - the "push".
- c. Creativity: generating and sharing the ideas - the "brain".
- d. Communication: the flow of information and ideas - the "life blood"
- e. Collaboration: people coming together to work together on the idea(s) "the heart"
- f. Completion: implementing the new ideas "the muscle".
- g. Contemplation: learning and sharing lesson lead to higher competency "the ladder".
- h. Culture: the playing field of innovation includes:

- **Leadership:** sees the possibilities and positions the team for action ‘the role model.’
- **People:** (diverse groups of radically empowered people innovate - “the source of innovation.”
- **Basic values:** trust and respect defines and distinguish innovation organization - “the backbone.”
- **Innovation values:** certain values stoke the fires that makes the 'impossible' possible - “the spark”
- **Context:** innovation is shaped by interaction with the world.

Forms of Innovation

If innovation comes in a variety of shapes and sizes and is used by different people to mean different things then making coherent sense of the subject is not an easy task. Grouping innovations into categories can help. Two kinds of categorization are attempted. The first centres on different forms of innovation. This is based on the idea of applications or uses for innovation, that is, areas or fields where innovations are used. Three applications are considered: *product, service and process innovations*.

The second categorization is based on the degree of novelty associated with the innovation. It implies that there are different degrees of novelty associated with innovation. This categorization considers four types: *radical, architectural, modular and incremental*.

Benefits of Innovation

The effect of an innovation can range from (Obasan 2013 and Sullivan)

- Contributing to fairly small improvements to products or to the way things are done,
- Causing a fundamental transformation in the resulting products or services and/or the process technology of an entire industry,

- Transforming the market place and/or the economy as a whole.
- Improved timing for market introduction
- Enabling access to new customers and markets this resulting to increased market share
- Increased employee engagement and initiative
- Improved and longer lasting competitive advantage

Differences between Creativity, Innovation and Entrepreneurship

There is a need to define these terms again. We are aligning with the definitions of Scarborough (2013). To him creativity is the ability to develop new ideas and to discover new ways of looking at problems and opportunities while innovation is the ability to apply creative solutions to those problems and opportunities to enhance or to enrich people's lives. Harvard's Tedd Levitt says creativity is thinking new things, and innovation is doing new things. He says entrepreneurs succeed by thinking and doing new things or old things in new ways. Transforming ideas into a tangible product, service or business venture is the most important. A management guru, Peter Drucker said “innovation is the specific instrument of entrepreneurs, the means by which they exploit change as an opportunity for a different business or a different service. Singh (2007) further says entrepreneurship is a philosophy or process through which an entrepreneur seeks innovation and employment and further said it can be described as a creative and innovative response to the environment. Fajardo (2009) says Professor Nathaniel Left defined entrepreneurship as “the capacity for innovation, investment and expansion in new markets, products and techniques.

From the above definitions we can see that innovation begins with creativity. In a world that is changing faster than

most people could have imagined, creativity and innovation are vital to a firm's success and survival. Creativity and innovation often lie at small firms' ability to compete successfully with their larger rivals. Even though they cannot out-spend their larger rivals, small firms can create powerful, effective competitive advantages over big firms by “out-innovating” them!

Innovation Process

Dundon (2002) nine-step innovation process was been designed to be applicable for most projects across departments in any industry sector. The work required can be performed by individuals or cross-functional teams at any step in the process. The nine-step process is grouped into three stages which is summarized below:

1. Understanding

The first stage of the overall process, understanding, involves these three steps which are: gathering information, clarifying the real problem and setting innovation goal posts.

2. Imagination

The second stage involves gathering as many stimuli as possible in order to maximize the probability of making new connections. With the stimuli and an active imagination, participants are able to find new insights. From these insights, new ideas will be identified. It comprises these three steps which are: seeking stimuli, uncovering insights, and identifying ideas.

3. Action

The third stage involves building the ideas into full business concepts and then into business plans. These plans are presented in accordance with the strategic Innovation Goal

posts, making acceptance more realistic and more plausible. From here, the ideas are implemented and reviewed for shared learning. It comprises these three steps which are: developing the innovation roadmap, gaining commitment and implementing the innovation roadmap.

Innovation Principles

Innovation principles can be learned, and when combined with opportunity can enable individuals to be innovative. Kuratko (2009) came up with these principles:

- **Be action oriented:** Innovators always must be active and searching for new ideas, opportunities, or sources of innovation.
- **Make the product, process, or service simple and understandable:** People must readily understand how the innovation works.
- **Make the product, process, or service customer-based:** Innovators always keep the customer in mind. The more an innovator has the end user in mind, the greater the chance the concept will be accepted
- **Start Small:** The first categorization is based on the idea of applications or uses for innovation, that is, areas or fields where innovations are used.
- **Small is beautiful.** Innovators need to start their project or development gradually not on a grandiose scale. They should begin small and then build and develop, allowing for planned growth and proper extension in the right manner and at the right time.
- **Aim High:** Innovators should aim high for success by seeking a niche in the marketplace.
- **Try/Test/Revise:** Innovators always should follow the rule of try, test, and revise. This helps work out flaws in the product, process or service.

- **Learn from Failures:** Innovation does not guarantee success. More important, failures often give rise to innovations.
- **Follow a Milestone Schedule:** Every innovator should follow a schedule that indicates milestone accomplishments. Although the project may run ahead or behind schedule, it still is important to have a schedule in order to plan and evaluate the project.
- **Reward Heroic Activity:** This principle applies more to those involved in seeking and motivating others to innovate. Innovative activity should be rewarded and given the proper amount of respect. Innovative work must be viewed as a heroic activity that will reveal new horizons for the firm.
- **Work, Work, Work:** This is a simple but accurate exhortation with which to conclude the innovation principles. It takes work -- not genius or mystery -- to innovate successfully.

Management of Innovation

In today's rapidly changing business environment, managing innovation effectively has become an essential requirement for staying competitive. Long term sustainability for a business may be determined by a company's ability to competently direct innovative resources to address a constantly changing market and economic environment.

Innovation management is the management of innovation processes. It refers to both product and organizational innovation. Innovation management describes the decisions, activities, and practices that move an idea to realization for the purpose of generating business value. It includes a set of tools that allow managers and engineers cooperate with a common understanding of processes and goals. It is managing the investment in

creating new opportunities for generating customer value that are needed to sustain and grow the business or company. Innovation management allows the organization to respond to external opportunities and internal strengths, and use its creativity to a company's product development, manufacturing and marketing (2014).

We will discuss nine key elements that are present in all successful industrial innovations as well as six factors that are critical to their success. Ultimately having a sound understanding of the combination of success factors influencing the innovation will assist the path to success. Renew (1993) highlighted nine elements present in all successful innovations, which are: investigating market opportunity, obtaining and managing resources, research and development, protecting supplies, manufacture, promotion, distribution, sales and service.

Furthermore Renew (1993) established six critical factors impacting innovations, which include, effort and risk, managing all elements of the innovation, seeking out sources of innovation, integration of all elements in industrial innovation, continuing improvements and sustained investment.

Nine key elements present in successful industrial innovations are:

1. **Identifying a market opportunity:** If you are not able to sell it to consumers because they don't need it, then you may not be successful.
2. **Obtaining and managing resources:** you must be able to assess resources such as people, money, knowledge and facilities. These resources must be managed, so that they don't run out, especially when you need them most.
3. **Research and development:** research covers many facets. Maybe, there is a need for historical research to see

what has been done before. You don't want to reinvent the wheel. Sometimes there are actually some great ideas that you can get from history but the technology of the time didn't allow for the innovation to be fully realized.

Maybe there is a need for materials research or market research. Research is something that is ongoing. It is part of the development process of the product in the public eye it needs to be regularly revised and improved, for example, liquid paper has been improved with new solvents so that it dries faster, thinners are sold separately different methods of application such as pens, tape and different colours are available.

4. Protecting Intellectual Property: The main things that need to be protected are the design, the name, the logo, and new materials or methods or any artwork or textwork. This could be as simple as applying for a patent, a trade mark or a copyright. Different things are protected in different ways, so you may need all three. Copyright protects the written word, patent protects the workings and trademark protects logos and the way in which names are written etc.

5. Product Design: How does the product look? Is it functional? Does it look good? In some cases looks are not as important as the function, in other cases, looks are more important. For example, a chair may be quite beautiful to look at but if it isn't comfortable then it is not very effective for its intended function.

6. Obtaining Supplies: can you maintain a regular and consistent supply of raw materials and keep the costs the same? Consumers are happy if prices go down in the future, but are more hesitant to buy if the price increases. As materials become more high tech, are they worth

substituting? Does increased production warrant the implementation of expensive high-tech machinery?

7. Manufacture: Computer technology has changed the way machines operate. The use of computer based technologies means that products can be produced faster and with greater consistency

8. Promotion: before any product can be sold, the public need to know of its existence. It may need the help of a promotions company or an advertising campaign to achieve wider consumer awareness and marketplace presence.

9. Distribution, sales and service: Once everybody knows how great the product is, the manufacturer needs to ensure that the product is available in the shops in regular and reliable supply, the quality is consistent and that consumers can have their questions answered and problems solved should they arise.

Innovation Success

These are some six factors critical to the success of a new innovation.

1. Effort and Risk: Consistent and focused effort is essential. All problems need to be solved as they arise to minimize delay in ongoing development of the product. Innovators need to be conscious of the risks involved in pursuing the development of their product, including financial and personal strain.

2. Managing all the elements of innovation: all of the nine key elements must be continually addressed either by the individual or company or by experts or consultants paid for their expertise.

3. Seeking out sources of innovation: innovation is not confined to manufacture alone, that is, new machinery and materials. It may be necessary to be innovative in financial dealings, in packaging or promoting the product. Innovation should be an ongoing process even after the design is complete.

4. Integration of all elements in the industrial innovation: the nine key elements continually impact on each other. As one element changes and to see how it impacts on other aspects of the innovation before firm decisions are made.

5. Continuing Improvement: the product must change and improve to stay fresh in the consumer's eyes. Rival products may steal your market away. The continuous improvement of cell phones is a good example of ongoing innovation.

6. Sustained Investment: this is not only in the form of money, but also as time, knowledge, staff training, equipment etc. Most innovations which are successful over time have a substantial investment made in terms of time, finances, energy and determination.

Factors affecting Innovation

These are some factors one needs to consider for successful innovation and to be able to expand market globally. They are political, economic, cultural, legal, environmental, ethical, timing, entrepreneurial activity factors which are expanded below:

- **Political:** these are things to do with governments. Is there an existing trade agreement between our countries? Do we have a policy which might contradict theirs? For

example, the use of some food additives. Are our labeling laws the same for things like product safety?

- **Economic:** these are things to do with finances and money. Is the product going to be financially beneficial to the country? Will there be a creation or loss of several jobs in one industry yet the creation or loss of jobs in another as a result?

- **Cultural:** these are the things to do with the beliefs, customs and religion of other countries, for example, production and sale of Satis (pork) to a Muslim dominated State in Nigeria is less likely to be successful due to religious beliefs. Sometimes a product needs to be renamed as a word that is appropriate in one language is inappropriate in another.

- **Legal:** is the product safe for use? Could there be litigation as a result of injury or poor performance? Are labeling laws strictly adhered to, for example, in terms of standards, or content listings etc. Has any part of the design been stolen? Is the design properly protected by patents?

- **Technological:** Technological environment influences the business in terms of investment in technology, consistent application of technology and the effects of technology on markets. In India, advancements in automation and information technology have posed the challenging situation for the organisation in future (Rushparaj 2012).

- **Environmental:** is the manufacturing process going to pollute or destroy the natural surroundings? Is the product going to do this? Will it benefit the environment? A product or manufacturing process can even do both. Is the raw materials endangered, for example, some rainforest timbers?

- **Ethical:** Does the product do what it claims? Has the idea been stolen from someone else? Are the people who the product has been intended to assist, able to afford it?

- **Timing:** the time of the year a product hits the market

can be crucial to its success. Notice the must haves that hit the market time for Children Day, Mother's Day, Father's Day, Christmas or festive periods generally. Why do toys hit the market in time for the schools holidays? Videos and movies are released then also.

- **Entrepreneurial Activity:** Sometimes there is the need for someone outside the design group to help bring the product to the market, for example, someone with the contacts, money, knowhow and experience in that industry. Sometimes an idea to be sold to a larger company as they have the resources to bring it to the market and keep it on the market. Sometimes it is as simple as the designer no longer has the energy nor the means to keep going and sells the idea to someone else who can. Other times, it is because they just can't afford to do it by themselves.

Drivers of Innovation

According Obasan (2013) various factors encourage an organization to innovate. Each of these driver demands continuous innovation and learning so that the process can be repeated continuously. These drivers are: Emerging Technologies, Competitors actions, New ideas from customers, strategic partners, and employees, and Emerging changes in the external Environment. They are summarized below:

a. Emerging technologies

These have the potential for significant innovation across the organization and can be the basis for innovative products, processes, and services that can revolutionize the fortunes of an organization. In time past organizations developed technologies in large R&D laboratories; however, in today's environment the sources of emerging technology are often too extensive for any one organization

to develop individually. As a result of these, organizations utilize more resources scanning the environment for potential technological opportunities. Sources of emerging technology include universities, high-technology startups, and competing organizations.

b. Competitors actions

The innovative actions of competitors are another driver for innovation. Competitors can provide a benchmark regarding which projects and initiatives to pursue. Copying competitor innovations reduces risk because the products may have already been adopted in the market. This action may not increase the firm's market share but most effective in counteracting the advantage of competitors.

C. New ideas from customers, strategic partners, and employees

With greater technological complexity and market segmentation, modern organizations engaging as many stakeholders as possible in the innovation process. This can result in increased scanning capabilities and better information about market needs. Engaging employees, suppliers, customers, and other lead users can reveal new opportunities that otherwise might have gone undiscovered.

d. Emerging changes in the external Environment

All organizations are affected by changes in their external environment, these changes can be another driver of innovation. Environmental changes can occur because of competitor actions that have revolutionized the business environment or can happen through macro shifts in the political, economic, cultural, or technological environment as discussed under challenges of innovation. As organizations struggle to realign with their new business environment, they must innovate their products, processes

and services accordingly.

Conclusions

From the discussions above we can see that innovation germane for the survival and growth of entrepreneurial venture. Without innovation entrepreneurs will not be able to compete favourably with their larger rival firms in the industry they are operating in. The concept and nature of innovation was discussed with various definitions, sources and elements of innovation we enumerated. The types of innovation were discussed and various forms of innovation. Since some individuals use these terms interchangeably, we were able to differentiate the differences between creativity, innovation and entrepreneurship, and able to see that without creativity and innovation there cannot be entrepreneurship.

Furthermore, the three steps innovation process of Dundon was briefly discussed and some innovation principles that guides successful business operation globally was discussed. So also the benefits of innovation were enumerated. We concluded with the management of innovation discussing and then rounded up with drivers of innovation and factors affecting innovation. Entrepreneurship skills being a practical course, students were left with three case studies to go through, analyze, discuss and answer the accompanying questions.

These case studies are from (Sagagi, M. S., Anyanwu, S., Aliu, S. and Abimbola, O. 2012)

CASE STUDY ONE MUNGO'S SERVICE STATION

Three years ago, Mungo bought a service station from an old man who had run the station for 16 years using old machines and hand driven pumps. The sales were the best

of any service station in the town. The former owner had been a very popular man in the area and had many loyal customers. Some of this popularity rubbed off on the new owner but there were a lot of people in the area who didn't like Mungo.

As soon as Mungo took over the service station, his business began to decline. Within a period of three years, almost all old customers had left for the nearby service station and few new customers come to the service station. The biggest reason for losing sales was the attitude Mungo had towards his customers. For example, when a boy came to the station with his bicycle tyre and wanted air for an inflated bicycle tyre, Mungo told him "I'm here to sell gasoline, not to give air, ask your father to buy you a bicycle pump, don't bother me".

Another time a man on his way to a wedding stopped for gasoline. Mungo sold him gasoline but was in such a hurry and seemed to be very tired because of the hand pump he was using; he didn't check the oil or wash the windows. When the man asked Mungo to do these things, Mungo did them in bad humour and grumbled about all the work he had to do. He cleaned only the windshield in spite of the fact that all the windows were dusty.

After several instances like these, word got around about Mungo's bad personality. Nobody wanted to buy gasoline from Mungo's service station. The successful business Mungo had taken over went broke after three years as most of the customers shifted to a nearby service station.

Questions

1. What things will make an entrepreneur popular?
2. The service station had been a success for 16 years before Mungo took over. Why did it go broke within three years after Mungo became the owner?
3. "...Never argue with a customer. Adopt the attitude that the customer is always right no matter how wrong he is".

Discuss with reference to this case study.

4. What should Mungo have done to attract more customers?
5. What other factors could have influenced the customers to shift to a nearby new service station?

Vidsamor

Grace Oluwatoye, a Nurse-Midwife by profession, had over 36 years of working experience as a Teacher and nurse-practitioner before she ventured into business. With the loss of her father at the age of 18 years, Grace was forced into the labour market very early in life in order to cater for seven younger siblings and an aged grandmother. This tragedy changed the course of her life as she had to jettison her earlier plan to immediately further her education by studying for the A/Level. Instead, she resorted to green grocery merchandising and later to the preparation of snacks which she sold to school children. This apparent setback set the foundation for her entrepreneurial walk in life. From the meager savings from her enterprise, she supported her large family and paid the initial tuition fee of 75 pounds at the School of Midwifery, Sacred Heart, Abeokuta.

The determination to succeed saw her through school, to a successful career in nursing and then to Master's degree from the University of Exeter, UK. Her proactive stance earned her good service opportunities with the United Nations Population Funds, as well as with international NGOs such as Engender Health and Pathfinder International. In 2009, she retired from structured paid service to pursue an age-long passion of food processing, with emphasis on augmenting nutrients in the diets of the less privileged.

In the course of investigating the nutrient values of different food items, she came across the plant Moringa

oleifera, which is considered the most nutrient dense plant on earth. This social entrepreneur has since been captivated by the plant, having conducted researches which have led to the establishment of a thriving manufacturing industry which produces VIDSAMOR Tea, Powder and Spices. The company also processes and packages nutrient-rich African ethnic delicacies for export. Superior quality and high standards are the brand promise of VIDSAMOR.

VIDSAMOR is a small but fast growing business employing 12 workers full-time, while engaging 50 subsistent farmers to grow 50 acres of moringa plantation on a contract basis. At the moment, VIDSAMOR is unable to meet the market demands for its products.

The founder of VIDSAMOR - Grace, plays an active role in the network of women entrepreneurs in the immediate community. Moreover, she coordinates the alumni network of Centre for Entrepreneurship and Innovation of the University of Ibadan. As the cohort Governor, she mobilized the group into a cooperative society for sustainability and mutual support.

MitiMeth



A Social Enterprise can be defined as a business established to address a social or environmental issue and generate profits for the enterprise owners. MitiMeth is a woman owned social enterprise established in 2010 to address the environmental problem of invasive aquatic weeds prevalent

on Nigeria's waterways. The infestation of water hyacinth (*Eichhornia crassipes*), was first recorded in Nigeria in 1984 around Badagry Creek. According to a 2004 report by the African Development Bank, annual losses in West Africa vary from US\$28-56 million for fisheries, US\$4-6 million for health, US\$7-14 million for hydro-energy, and US\$36-76 million for agriculture as a result of invasive aquatic weeds.

ENTERPRISE BENEFICIARIES

Dense floating webs of water hyacinth can be seen in most waterways in Nigeria (e.g. Epe, Ikorodu, Bayeku, Makoko, Igbokoda, Epe, Olugbokere, Mansa, Ikin, Lekki lagoon, Idah, Lokoja etc). Direct beneficiaries of the MitiMeth enterprise are those living and working in the riparian and lakeside communities in Nigeria. The objective of the enterprise is to extract value from this waterways menace by engaging members of the communities to harvest the weeds manually. Within and beyond the lakeside communities, already skilled artisans are trained by the MitiMeth to create eco-friendly hand woven products utilising the weeds.

BUSINESS MODEL

Product	The main products are hand -woven home décor items i.e. multipurpose baskets, coasters, mirrors, vases.
Target Market	Domestic and Export markets. The enterprise attends exhibition and trade fairs and is registered with the BOI-AGOA centre. Boutiques and retail outlets have been approached to carry MitiMeth products. The products are marketed on enterprise's website: www.mitimeth.com.ng and also on Facebook www.facebook.com/mitimeth .

Financial Model	The main income of the enterprise is derived from the sales of hand -woven products. Labour services, raw material supplies, rent and exhibition shows constitute the main expenses.
Business Form	MitiMeth is an Ibadan based business registered with the CA C. The enterprise is headed by a Creative Director, Achenyo Idachaba, the Operations Manager is Ile Idachaba, 2 Field Supervisors, 3 harvesters, 7 contract artisans / weavers.
Replicability	With appropriate training and readily available raw material resources, the MitiMeth business model can be replicated.

Challenges

The enterprise needs to aggressively market and establish consistent demand for its eco-friendly products. At present the enterprise does not have a staff person solely focused on sales and marketing. This is a gap and a weakness of the enterprise. The enterprise needs to hire a seasoned marketing professional to carry out this activity but has been resource constrained. Aggressive marketing is critical because the enterprise is based in Ibadan where the purchasing power is lower than other major cities. As such the products need to be marketed and sold beyond the boundaries of Ibadan.

The other main challenge is finding skilled artisans to engage long-term. There's a shortage of reliable and skilled artisans in framing and weaving. With current unrateable product demand, the enterprise has not been able to keep its trained artisans on a full-time basis. This is a critical challenge because when orders do come in, the artisans may not be available to fulfill the order. In addition, due to being a small business with small orders, artisans tend to charge a premium for labour as they believe the products are destined for the international market and not the domestic market.

The vision is to build the Enterprise's sustainability by acquiring more customers. In doing so, MitiMeth aims to open a work / shop site in the center of the city and increase stocking locations. MitiMeth also plans to start a framing and weaving training program focused on aquatic weeds in order to increase its earning potential.

Questions for Case Study Two and Three

1. Can you identify any form of innovation in these case studies? Discuss (10 marks)
2. Proffer probable solutions to the challenges identified in MitiMeth. (10 marks)
3. Identify the business strategies adopted (10 marks)
4. Come up with probable strategies yet to be adopted by these women entrepreneurs (10 marks).

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Innovation Management Critical to Long Term Success

Suggestions for further Reading:

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Entrepreneurship and Family Business

Akinbunmi, S.

Introduction

Family businesses are widely seen as the backbone of the economy. They create wealth, provide jobs, they are locally rooted and connected to their communities and they seem to be around for long periods of time. Yet, despite the many positive aspects of family businesses, there is also a darker side. Family conflicts, incompetent members of the next generation and flamboyant lifestyles are just some of the more frequent criticisms about family businesses.

However, family businesses constitute the world's oldest and most dominant form of business organisations. In many countries, family businesses represent more than 70 percent of the overall businesses and play a key role in the economic growth and workforce employment.

A firm is said to be family-owned if a person is the controlling shareholder; that is, a person (rather than a state, corporation, management trust, or mutual fund) can garner enough shares to assure at least 20 percent of the voting rights and the highest percentage of voting rights in comparison to other shareholders. Owning and operating a family business is both rewarding and demanding whether it is large or small. A special challenge for family firms is to maintain their entrepreneurial drive over generations; the continuity necessitates strategic renewal, and entrepreneurship.

DEFINITION OF FAMILY BUSINESS

AUTHOR(S)	DEFINITION
Babicky, 1987:25	Is the kind of small business started by one or few individuals who had an idea, worked hard to develop it, and achieved, usually with limited capital, growth while maintaining majority ownership of the enterprise
Churchill & Hatten, 1993:52	Family business is either the occurrence or the anticipation that a younger family member has or will assume control of the business from the elder
Leach, Kenway-Smith, Hart, Morris, Ainsworth, Beterlsen, Iraqi & Pasari	A company in which more than 50 percent of the voting shares are controlled by one family, and/or a single family group effectively controls the firm, and/or a significant proportion of the firm's senior management is members from the same family
Pratt & Davis, 1986:2	One in which two or more extended family members influence the direction of the business through the exercise of kinship ties, management roles, or ownership rights
Chua, Chrisman & Sharma, 1999:2	The family business is a business governed and/or managed with the intention to shape and pursue the vision of the business held by a dominant coalition controlled by members of the same family or a small number of families in a manner that is potentially sustainable across generations of the family or families.
Lorna, 2011	Defines family business as one that will be passed on for the family's next generation to manage and control.

CHARACTERISTICS OF FAMILY BUSINESS

1. Commencement. Businesses are kick-started through the solo effort of individuals with a vision and the will to blaze the entrepreneurial path. Some of the individuals had mentors who usually sow a seed-capital into their businesses. For instance, Aliko Dangote of the Dangote Group of Companies is said to have been given a seed-capital of N500, 000 by his maternal grandfather and notable trader, Sanusi Dantata.

2. Entrepreneurial activities. These founders normally undertake many types of entrepreneurial activities, which include:

- New concept/new business. They develop new idea(s) of new product(s) around which a new business is built.
- New concept/existing business. A new idea/product is adopted and operated/produced within an existing business.

- Existing concept/new business. An already existing idea/product is adopted by a new business usually with lots of systems changes and value added through creativity.

- Existing concept/existing business. An existing idea/product is adopted by an existing business.

3. Growth pattern. In Nigeria, many of the family businesses started with trading activities and later metamorphosed into the collection and execution of contract jobs, which is facilitated by the entrepreneur's unique ability to maintain a large network of social contacts. Many also invest in the banking sector and finally spread across many business sectors without actually concentrating on any specific sector, taking advantage of opportunities that emerge from technological developments, supply gaps or demand upsurge, thereby supporting the concept of "opportunistic entrepreneurship."

4. Ownership and management combined. Family businesses in Nigeria generally operate a simple management structure, which combines ownership and management in one or few persons. For example, in Doyin Group of Companies, the founder, Samuel Adedoyin is chairman/CEO, while some of the children are directors overseeing some other Strategic Business Units (SBU) within the group.

5. Fusion of private and business lives' characteristic. The concept of legal personality of companies presupposes that the records and finances of the business will be separated from those of its owners. This legal entity principle is regularly abused in many family businesses in Nigeria. Owners find it difficult to separate their private lives from the business, particularly in the areas of finance and management. Many family businesses are known to be allowance payment points for the founders' numerous children and spouses, with poor financial discipline and record keeping.

Entrepreneurs who founded family businesses have been known to exhibit pre-emergence features such as thriftiness, flexibility, ability to bear reasonable risk and uncertainties, creativity, unique ability to develop and maintain a large network of social contacts, including the will to retain earnings within the business for future growth.

6. Flexible Decision-making. Being a simple structure with an owner-manager arrangement, decision-making is quite flexible and quick.

7. Informal Employer-Employee relation. As an offshoot of the above characteristics, there generally exists an informal relationship between the employer and the employees. The employer is able to identify and relate with most of the staff on a first name basis. In fact many of such enterprises employ family members when they commence operation. The behaviour and personality traits of the entrepreneur shape the organizational culture and business orientation of the family business. Hence the study of entrepreneurship usually commences with an understanding of the entrepreneur.

Behavioural Features of Entrepreneurs

These include

- a high need for achievement,
- a need for independence as the entrepreneur desires to take responsibility for his actions/results,
- preference for moderate risks,
- optimistic/confident of success,
- need for and stimulation by feedback,
- energetic and scrupulous time user,
- futuristic in orientation,
- highly skilled in organising and

Advantages of Family Business

A family business offers the following advantages (Cadden & Lueder, 2009):

- Family businesses can adapt to market fluctuations more easily because they can afford to be patient. That is, the family members have common goals, shared values, and a commitment to brand building.
- Family-owned businesses are often seen as ideal because family members form a “grounded and loyal foundation” for the company, and family members tend to exhibit more dedication to their common goals.
- Family businesses are becoming more and more attractive to undergraduate students who face a bleak job and salary outlook for new grads. These undergrads are choosing to return to their family businesses directly after graduation instead of trying to find a job in corporate organisations.
- Family businesses are more professional and rigorous in their behaviour because of the relational nature of the businesses. They face global competition and rapidly changing markets. This creates more pressure on those who join to make sure that they produce.
- Many family-owned businesses tend to be stable and optimistic, even when economic times are uncertain. They seem to be better able to weather economic difficulties and stabilize the economy than their nonfamily counterparts.
- Family businesses may incur lower costs because of the greater willingness of family members to make financial sacrifices for the sake of the business. Accepting lower pay than they would get elsewhere to help the business in the longer term or deferring wages in a cash-flow crisis are examples of family altruistic behaviour.

- Family businesses are less bureaucratic and less impersonal, which allows for greater flexibility and quicker decision making.

Challenges Faced by a Family Owned Business (Iwan 2006)

Every business organization has a unique set of challenges and problems. The family business is no different. Family businesses go through various stages of growth and development over time. Many of these challenges will be found once the second and subsequent generations enter the business.

- 1. Emotions:** Family problems will affect the business. Divorce, separations, health or financial problems also create difficult political situations for the family members.
- 2. Informality:** Absence of clear policies and business norms for family members
- 3. Tunnel vision:** Lack of outside opinions and diversity on how to operate the business.
- 4. Lack of written strategy:** No documented plan or long term planning.
- 5. Compensation problems for family members:** Dividends, salaries, benefits and compensation for non-participating family members are not clearly defined and justified.
- 6. Role confusion:** Roles and responsibilities must be clearly defined.
- 7. Lack of talent:** Hiring family members who are not qualified or lack the skills and abilities for the organization, and the inability to fire them when it is clear they are not working out.
- 8. High turnover of non-family members:** When employees feel that the family “mafia” will always advance

over outsiders and when employees realize that management is incompetent.

9. Succession Planning: Most family organizations do not have a plan for handing the power to the next generation, leading to political conflicts and divisions.

10. Retirement and Estate Planning: Long term planning to cover the necessities and realities of older members when they leave the company.

11. Training: There should be a specific training program when you integrate family members into the company. This should provide specific information that are related to the goals, expectations and obligations of the position.

12. Paternalistic: Control is centralized and influenced by tradition instead of good management practices.

13. Overly Conservative: Older family members try to preserve the status quo and resist change. Especially to ideas and change proposed by the younger generation.

14. Communication Problems: Provoked by role confusion, emotions (envy, fear, anger), political divisions or other relationship problems.

15. Systematic Thinking: Decisions are made day-to-day in response to problems. No long-term planning or strategic planning.

16. Exit Strategy: No clear plan on how to sell, close or walk away from the business.

17. Business Valuation: No knowledge of the worth of the business, and the factors that make it valuable or decrease its value.

18. Growth: Problems due to lack of capital and new investment or resistance to re-investment in the business.

19. Vision: Each family member has a different vision of the business and different goals.

20. Control of Operations: Difficult to control other members of the family. Lack of participation in the day-to-day work and supervision is required.

Family Roles and Relationships

Families can play a big role in shaping relations in family owned businesses by answering the following questions:

- Does my child possess the temperament and ability necessary for business leadership?
- How can I motivate my child to take an interest in the business?
- What type of education and expertise will be most helpful in preparing my child for leadership?
- What timetable should I follow in employing and promoting my child?
- How can I avoid favouritism in managing and developing my child for a leadership role?
- Is sibling rivalry likely to be a problem, and can it be avoided?
- How can I prevent the business relationship from damaging or destroying the parent-child relationship?

Family Business Succession Planning

Succession planning is a process that is often neglected by small business owners. This is understandable when day-to-day operations are more than enough to keep you busy. The thought of losing control of your business whether due to illness, death, or other factors is unpleasant. However, the reality is that people age and accidents happen. By planning for succession or by considering your business exit strategy, you will also give yourself the freedom to voluntarily step away from your business to pursue other interests if you so choose. If you want your business to survive beyond you, planning for changes in management is crucial. By keeping all business responsibilities in your own hands, you put the

sustainability of your business in jeopardy. Succession must be managed for all significant positions in a company not just owner(s) or senior manager(s). Business processes and institutional memory should be passed along not only at the ownership and executive levels, but also on the supervisory, professional, and skilled levels (Butteriss, 1999).

Sharma, Chrisman, Pablo and Chua (2001, cited in Ukaegbu, 2003) defined succession as those actions and events that lead to the transition of leadership from one family member to another. In organizational theory, succession is the process of transferring management control from one generation of leader(s) to the next generation including the dynamics before, during and after the actual transition (Zacharakis, 2000 cited in Ukaegbu, 2003). According to Erven (2007) referred succession as “a process... over the years ... involving the planning, selection and preparation of the next generation of managers, transition in management responsibility, gradual decrease in the role of previous managers and final discontinuation of any input by previous managers”. In the Nigerian context, the generational managers/leaders could be from a nuclear family in a monogamous household or from a compound family in a polygamous household.

Succession Planning Dos and Don'ts

DO

- Start planning now. It is never too early to think about succession.
- Communicate openly at all times with all family members about plans.
- Develop a long-term vision of what you want to happen. Write it down.
- Address the issue of fair vs. equal division of the business early on.
- Help develop the skills, abilities and knowledge of the next generation.

- Prepare a legal will early.
- Develop a general plan for the transfer of assets.
- Enrol a lawyer and an accountant to fine-tune your plans.

DON'T

- Procrastinate and put off discussing succession. Start now.
 - Feel that the succession plan has to treat all children equally; fair does not mean equal.
 - Be afraid to ask questions and listen carefully to the answers.
 - Hold on to control of all aspects of the business.
 - Feel both generations must have the same value sets.
 - Define your life as the business. There is more to life than work.
- Rely on just one professional advisor.

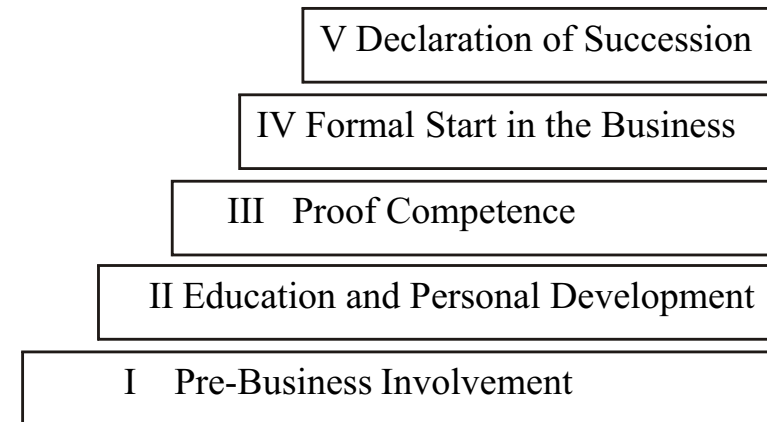
Beauregard & Fitzgerald (2000).

Secrets of Success in Succession Planning

Management Maxims

- Start planning early.
- Think of the family business as an asset, not just an operation.
- Let family members have a free choice on whether or not to enter the business while you still manage it.
- Get professional help for the transition process.

Stages of the Succession Process in a Family Business



Source: Cook (2010)

Key Family Governance Policies

- ✓ **Family Employment Policy:** Policies should not discriminate or favor family members. They must establish an atmosphere of fairness and motivation for all employees.
- ✓ **Family Shareholding Policy:** Establishes rules for share ownership and transfer to ensure shares are kept in the family when desired (e.g., Share Redemption Fund).
- ✓ **Family Dividend Policy:** Establishes guiding principles for family dividend payments to help resolve differing family cash demands.
- ✓ **Family Director Nomination Policy:** Guidelines for electing family members to the company Board of Directors.
- ✓ **Family Education Policy:** Guidelines for helping family members gain educational and professional training (may include Education fund).
- ✓ **Conflict Resolution Policy (and Committee):** Describes measures to help resolve conflicts between family members within a defined scope.

How Can Good Family Governance Help?

Well-Functioning Family Governance Structures aim at:

- Communicating the family values, mission, and long term vision to all family members.
- Keeping family members (especially non-executives) informed about major business accomplishments, challenges, and strategic directions.
- Communicating the rules and decisions that might affect family members' employment, dividends, and other benefits they usually get from the business.
- Establishing formal communication channels that allow family members to share their ideas, aspirations and issues.
- Allowing the family to come together and make any necessary decisions.

Successful Nigerian Families

Family businesses, which range from small and medium-sized companies to large conglomerates, operate in multiple industries and countries. They are in the small bracket e.g. The tailoring outfit, barbing, carpentry, retailing outfit, etc, to entrepreneurial outfits, for example, the empires of Yinka Folawiyo, Aliko Dangote, Dantata, Isiyaku Rabi, Moshood Kashimawo Olawale Abiola, Ashamu, The Ibrus, Okoya-Thomas, the Ojukwu family, Odili, Bobby Benson, Sanusi Brothers, Henry Fajemirokun Dehinde, Fernandez, Bank-Anthony, the Ekene Dili Chukwu Transport, etc. These are business conglomerates that were built by known entrepreneurs from 'humble beginnings.' To mention but a few of them are:

Dantata Group

The name, “Dantata” is a familiar name in Nigeria. But how did this business empire cum dynasty that has successfully produced the likes of Sanusi Dantata, Abdilkadir Dantata, Aminu Dantata and Aliko Dangote, a brilliant nephew in the family, start?

The Dantata Organization was founded around 1910 by the patriarch of the Dantata family, Alhassan Dantata, who started trading commodities such as kolanut, cocoa, beads and groundnuts in Lagos and Accra under the company name, Alhassan Dantata & Sons Limited. Upon Alhassan's death in 1955, the mantle on running the business fell on his 4 sons, named Mamuda, Sanusi, Ahmadu, and Aminu. Of his four sons, only Aminu, his last son who is aged 82 is still alive. However, Aminu's eldest son, Tajudeen Aminu Dantata is now in charge of the overall family business. He took the reins of the business in 1988, starting off as Group Director in Dantata Organisations Limited, a position he held until he was appointed Group Managing Director in 1994. The Dantata Organization is a large conglomerate with interests in oil exploration, manufacturing, banking and finance, import and export, farming as well as merchandising and commodity trading. Companies in the group's fold include Dantata & Sawoe Construction, a leading construction firm, Bebeji Oil & Allied Products Limited a petroleum marketing company, Express Petroleum & Gas Company Limited- an oil exploration company, Dantata Property Development & Management and Kundila Finance Company among others. The group's annual revenues exceed \$300 million annually.

Isyaku Rabi And Sons (Irs)

IRS patron, Khalifa Sheikh Rabi began trading in Kano at the age of 21. From his initial trading in commodities and beverages before moving into commercial real estate development, he created Isyaku Rabi and Sons Limited, which was registered in February 1952 as a company and as a limited liability company in 1973. His real estate dealings involved acquiring and renovating old properties for profit. From that he ventured into textiles, setting up a textile company. He likewise ventured into the oil industry and construction sector.

IRS' industrial tentacles have today spread to 12 companies (minus BUA Group, established by his son Abdulsamad and IRS Airlines, headed by Group Executive Director Rabi I. Rabi). IRS Airlines clocked a decade old on March 20, 2012.

After his arrest in 1970 for rice hoarding, by the then head of state, under the military era, his son Abdulsamad Rabi, the most famous and richest of the family of entrepreneurs who abruptly joined the family business at the age of 24 took over his father's business. In a matter of time, Abdulsamad established his own company, BUA International Limited in Lagos and later change to BUA Group. It deals in food processing, port concession, oil and gas, real estate development and most recently cement production.

BUA Group is worth \$2bn. The 53-year-old Abdulsamad, was audited to be among the 50 richest men and billionaires in Africa by Forbes Africa in 2013. Abdulsamad Rabi is rated to worth \$1.2bn.

Ekene Dili Chukwu Group

One name that has become synonymous with the road transport sector in Nigeria over the years is late Ekene Dili Chukwu. Ekene Dili Chukwu Nigeria Limited is a subsidiary of Ekene Dili Chukwu conglomerate which is into several other businesses across Nigeria. The company which has been providing its services for several decades belongs to Chief Augustine E. Ilodibe, popularly known by the business name, Ekene Dili Chukwu who hails from Nnewi in Anambra State. Thus, he was the Chairman/CEO of the conglomerate.

Other Successful Family Business in Africa

When Raymond Ackerman was fired from his position as a Managing Director at South African food retailer Checkers in 1966, he used his severance package to buy up three retail

outlets in Cape Town which traded under the name Pick n Pay. Ackerman built Pick n Pay to become one of the most popular and largest retail outlets in South African by building a strong reputation as a consumer champion and fighting supplier cartels in bread, petrol, cigarettes and many other industries. Pick n Pay now has close to 800 stores in Southern Africa. Raymond Ackerman stepped down from his role as Executive Chairman of the company in 2010, giving way for his first son Gareth Ackerman to take over as Chairman. Gareth is still working hard to prove himself. Pick n Pay is the second largest grocer in South Africa, but in the last couple of years the company has lost significant market share to rivals such as Woolworth and Shoprite while struggling to adopt new information technology and distribution systems. Pick N Pay is listed on the Johannesburg bourse, but it still remains a family business for the most part. The Ackerman Family trust owns 53% of the company's stock and Gareth's siblings occupy senior positions in the company: his sister, Suzanne Ackerman-Berman, serves as Transformation Director at the company while Jonathan Ackerman is Executive Director.

METL Group

Mohammed Enterprise Limited (METL) founded in 1960 by Gulam Dewji in Tanzania is one of the largest industrial conglomerates in East Africa. Gulam Dewji founded the conglomerate decades ago as a commodity trading concern until his eldest son, Mohammed 'Mo' Dewji, returned from attending Georgetown University and a stint in a job on Wall Street in the U.S and joined the business. Mo began acquiring government-owned textile and soap manufacturing entities that were being offered for sale in a privatization exercise. METL's turnover now exceeds \$1 billion, mainly driven by its textile and soap manufacturing units, but the younger Dewji has also expanded the company's interests to include financial services, retail and petroleum marketing. Mo's younger brother Hussein Dewji acts as the group's Director of Marketing while Gulam Dewji still serves as chairman.

Madhvani Group

In 1918, Muljibhai Madhvani acquired a piece of land in Kakira, a small commercial town in Eastern Uganda, with which he established a sugar factory. That sugar factory, Kakira Sugarworks, is today the largest producer of sugar in the East African region, producing an estimated 165,000 metric tonnes of sugar annually and employing over 8,000 people. It is also the flagship company of the Madhvani Group, a large Ugandan conglomerate that owns numerous hotels, tea estates, construction, insurance and distribution companies. It also owns and operates the Kakira Airport. Muljibhai Madhvani's youngest son, Mayur Madhvani, currently holds the reins as CEO of the group, a position he assumed after his elder brothers passed away. Mayur has played a crucial role in revitalizing the group, and is responsible for diversifying Madhvani's interests from manufacturing to service-related industries. His younger daughter is being groomed to take over.

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